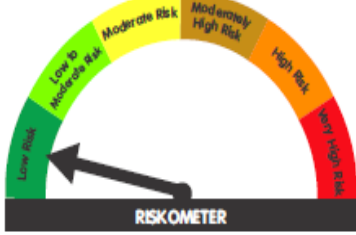
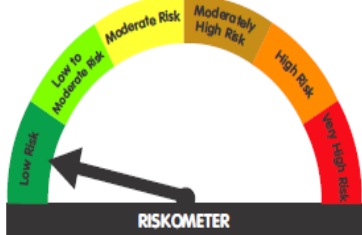


SCHEME INFORMATION DOCUMENT

Name of the Scheme	Parag Parikh Arbitrage Fund
Type of the Scheme	An open-ended scheme investing in arbitrage opportunities

This product is suitable for investors who are seeking*	Risk-o-meter as on September 30, 2025	
	Scheme's Risk-o-meter	AMFI Tier I Benchmark's Risk-o-meter (Nifty 50 Arbitrage TRI)
- To generate income by investing in arbitrage opportunities - Predominantly investing in arbitrage opportunities in the cash and derivatives segment of the equity market.	 RISKOMETER The risk of the scheme is low risk	 RISKOMETER The risk of the benchmark is low risk

***Investors should consult their financial advisers if in doubt about whether the product is suitable for them.**

The Scheme is open for Continuous Offer for Units at Applicable NAV.

Name of the Mutual Fund	PPFAS Mutual Fund
Name of the Sponsor	Parag Parikh Financial Advisory Services Limited CIN: U67190MH1992PLC068970
Name of the Asset Management Company	PPFAS Asset Management Private Limited CIN: U65100MH2011PTC220623
Name of the Trustee Company	PPFAS Trustee Company Private Limited CIN: U65100MH2011PTC221203



Registered Address, Website of the Entities	81/82, 8th Floor, Sakhar Bhavan, Ramnath Goenka Marg, 230, Nariman Point, Mumbai- 400021, Maharashtra, India Website: https://amc.ppfas.com
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The particulars of the Scheme have been prepared in accordance with the Securities and Exchange Board of India (Mutual Funds) Regulations, 1996, (herein after referred to as SEBI (MF) Regulations) as amended till date and circulars issued thereunder filed with SEBI, along with a Due Diligence Certificate from the AMC. The units being offered for public subscription have not been approved or recommended by SEBI nor has SEBI certified the accuracy or adequacy of the Scheme Information Document.

The Scheme Information Document sets forth concisely the information about the scheme that a prospective investor ought to know before investing. Before investing, investors should also ascertain about any further changes to this Scheme Information Document after the date of this Document from the Mutual Fund / Investor Service Centres / Website / Distributors or Brokers.

The investors are advised to refer to the Statement of Additional Information (SAI) for details of PPFAS Mutual Fund, Standard Risk Factors, Special Considerations, Tax and Legal issues and general information on <http://amc.ppfas.com>.

SAI is incorporated by reference (is legally a part of the Scheme Information Document). For a free copy of the current SAI, please contact your nearest Investor Service Centre or log on to our website, <http://amc.ppfas.com>. The Scheme Information Document (Section I and II) should be read in conjunction with the SAI and not in isolation.

This Scheme Information Document is dated November 28, 2025.

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The Scheme Information Document has two sections- Section I and Section II.

While Section I contains scheme specific information that is dynamic, Section II contains elaborated provisions (including references to applicable Regulations/circulars/guidelines) with reference to information/disclosures provided in Section I.

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SECTION I

Part I. HIGHLIGHTS/SUMMARY OF THE SCHEME

Sr. No.	Title	Description
I.	Name of the scheme	Parag Parikh Arbitrage Fund
II.	Category of the Scheme	Arbitrage Fund
III.	Scheme type	An open ended scheme investing in arbitrage opportunities.
IV.	Scheme code	PPFA/O/H/ARB/23/09/0005
V.	Investment objective	The investment objective of the scheme is to generate capital appreciation and income by predominantly investing in arbitrage opportunities in the cash and derivatives segment of the equity market, and by investing the balance in debt and money market instruments. However, there is no assurance that the investment objective of the Scheme will be achieved and the Scheme does not assure or guarantee any returns.
VI.	Liquidity/listing details	The Scheme being offered is open-ended scheme and will offer units for sale, switch-in and redemption switch out, on every working day at NAV based prices. As per SEBI (MF) Regulations, the Mutual Fund shall make the transfer of redemption proceeds within 3 working days from the date of redemption in normal circumstances. Further, in exceptional circumstances, transfer of redemption shall be within 5 working days as per SEBI and/or AMFI Guidelines. A penal interest of 15% per annum or any other rate as may be prescribed by SEBI from time to time will be paid by the AMC for the period of delay in case the redemption proceeds are not transferred within the prescribed time Please refer to section 'Redemption' for more details.
VII.	Benchmark (Total Return Index)	• The scheme's benchmark is Nifty 50 Arbitrage (TRI) • The benchmark is based on AMFI Tier-1 benchmark. Justification: The composition of the aforesaid benchmark is such that, it is most suited for comparing the performance of the scheme.
VIII.	NAV disclosure	The AMC shall update the NAVs on the website of the Mutual Fund (http://amc.ppfas.com) and on the website of Association of Mutual Funds in India - AMFI (www.amfiindia.com) by 11.00 p.m. on every Business Day. For further details, kindly refer Section II.B of the SID.
IX.	Applicable timelines	Under normal circumstances, the redemption or repurchase proceeds shall be released to the unitholders within 3 working days from the date of redemption or repurchase and in case of exceptional circumstances, the transfer shall be made within 5 working days as per SEBI and/or AMFI Guidelines. The AMC shall be liable to pay interest to the unitholders at such rate as may be specified by SEBI for the period of such delay (presently @ 15% per annum) along with the proceeds of redemption or repurchase or IDCW. However, the AMC will not be liable to pay any

		interest or compensation or any amount otherwise, in case the AMC / Trustee is required to obtain from the investor / unitholders, verification of identity or such other details relating to subscription for units under any applicable law or as may be requested by a regulatory body or any government authority, which may result in delay in processing the application.
X.	Plans and Options Plans/Options and sub- options under the Scheme	The Scheme offers two Plans: 1.Direct Plan 2.Regular Plan Both Direct and Regular Plan(s) offers only one Option, viz., Growth Option. The NAVs of the above plans will be different and separately declared; the portfolio of investments remaining the same. The Investors should indicate the plan / option for which Subscription is made by indicating the choice in the appropriate box provided for this purpose in the application form. In case of valid application received without any choice of option/ facility, the following default plan / option will be considered: Default Plan Investors subscribing under Direct Plan of the Scheme will have to indicate “Direct Plan” against the Scheme name in the application form. However, if distributor code is mentioned in application form, but “Direct Plan” is mentioned against the Scheme name, the distributor code will be ignored and the application will be processed under “Direct Plan”. Further, where application is received for regular Plan without Distributor code or “Direct” mentioned in the ARN Column, the application will be processed under Direct Plan. Default Option – Growth In cases of transactions received in Regular Plan with Invalid ARN, the transactions shall be processed under Direct Plan of the same scheme. The AMC shall adhere with the AMFI Best Practices Guidelines Circular No.111 /2023-24 dated February 2, 2024, and as amended from time to time where the transactions from investors are received with invalid ARNs. As per AMFI Best Practice Guideline No: 135/BP/ 107 /2023-24 dated May 04, 2023, AMC can accept business only from an empaneled distributor. Transactions received, if any, from / under the ARN of a non-empaneled MFD may be processed under Direct Plan, with prompt intimation to the non-empaneled MFD, and the investor. For detailed disclosure of default plans and options, kindly refer SAI. Also refer Section II for additional information.
XI.	Load Structure	Exit Load:

		• In respect of each purchase / switch-in of units, an Exit Load of 0.25% is payable if Units are redeemed/ switched-out within 30 days from the date of allotment. • No Exit Load is payable if Units are redeemed / switched-out after 30 days from the date of allotment. Any exit load charged (net off GST, if any) shall be credited back to the Scheme. The Trustees shall have the right to prescribe or modify the exit load structure with prospective effect subject to a maximum prescribed under the Regulations.
XII.	Minimum Application Amount/switch in	On continuous basis, Rs. 1,000/- and in multiples of Re. 1/- thereafter.
XIII.	Minimum Additional Purchase Amount	Rs. 1,000/- and in multiples of Re. 1/- thereafter.
XIV.	Minimum Redemption/switch out amount	Rs. 1,000/- or 1 unit or account balance, whichever is lower in respect of each Option. There will be no minimum redemption criterion for Unit based redemption.
XV.	Segregated portfolio/side pocketing disclosure	Currently, there is no segregated portfolio in the Scheme. The Scheme carries the provision to segregate the portfolio, if required in future. To know details about provision for segregation of portfolio, kindly refer SAI.
XVI.	Swing pricing disclosure	This is not applicable to Arbitrage schemes.
XVII.	Stock lending/short selling	The Scheme shall not engage in Stock Lending/ Short Selling.
XVIII.	How to Apply and Other details	Investors can apply for their transactions requests either offline or electronically. using the relevant application / transaction request forms available on our website or at any of our Officials Points of Acceptance and RTA (Computer Age Management Services Limited's branch offices. The application form/transaction slip for subscription/ redemption/ switches can be submitted at our Official Points of Acceptances whose addresses are available on the website of the AMC. For Summary of process please refer to the SAI and application form for the instructions. Details in section II.
XIX.	Investor services	• Contact details for general service requests: Toll Free No. – 1800- 266- 7790, write to mf@ppfas.com or send communications to registered office address • Contact details for complaint resolution: Mr. Aalok Mehta, Head - Investor Relations & Direct Channel or write to mf@ppfas.com • Investors also have an option to approach SEBI, by logging a complaint on SEBI's complaints redressal system (SCORES 2.0) https://scores.sebi.gov.in • SMART ODR Portal – Link' is being made available for investors on https://amc.ppfas.com/out-source-url/?https://smartodr.in/login

XX.	Specific attribute of the scheme (such as lock in, duration in case of target maturity scheme/close ended schemes) (as applicable)	NIL. The scheme, being open ended in nature, has perpetual duration.
XXI.	Special product/facility available on ongoing basis	The Special Products / Facilities available under the Scheme, are: i. Systematic Investment Plan (SIP) - The Unit holders under the eligible Scheme(s) can benefit by investing specified Rupee amounts at regular intervals for a continuous period. Under the SIP, Investors can invest a fixed amount of Rupees at regular intervals for purchasing additional Units of the Scheme(s) at Applicable NAV. ii. SIP Top up Facility Investors may avail SIP Top-up facility where they have options to increase the SIP Installment at pre-defined intervals. This will enhance the flexibility of the investor to invest higher amounts during the tenure of the SIP. iii. SIP Pause Facility The Fund offers SIP Pause facility for investors who wish to temporarily pause their SIP in the Schemes of the Fund. iv. Systematic Transfer Plan (STP) A unitholder may establish a Systematic Transfer Plan (STP) and choose to transfer an amount from one PPFAS MF Scheme (Source Scheme) to another PPFAS MF Scheme (Target Scheme) on a date/ frequency prescribed by the AMC. The amount thus withdrawn by redemption shall be converted into units at the applicable NAV on the scheduled day and such units will be subtracted from the unit balance of that unitholder. The net amount will be considered for allotment in the target scheme and units will be allotted as per the applicable NAV of the target scheme. v. Systematic Withdrawal Plan (SWP) This facility available to the unitholders of the fund enables them to redeem fixed sums or fixed number of units from their unit accounts at periodic intervals. The amount withdrawn under SWP by redemption shall be converted into the Fund units at the Repurchase price and such units will be redeemed/ subtracted from the unit balance of that unitholder. In case the date falls during a non business day/ book closure period the immediate next Business day will be considered for this purpose. vi. Investment through “PPFAS CashFlex” (Mobile App) PPFAS Mutual Fund has launched ‘PPFAS CashFlex’, a mobile application available on Android (Google Play) and iOS (App Store). The Mobile Application facility shall be considered as an “official point of acceptance of transactions.” Please note the uniform cut - off timing as prescribed by SEBI from time to time and as mentioned in the Scheme Information Documents (“SIDs”) of respective scheme(s) shall be applicable for transactions received through this

		facility. Existing investors can register for PPFAS Cash Flex after completing a simple One-Time Password (OTP) based registration process and choosing their Mobile Personal Identification Number (M-PIN) for each Folio. Key Feature: To do additional purchases and redeem normally for the aforementioned schemes or through Instant Access Facility (Only for Liquid Fund) All Transactions through this app are subject to such limits, operating guidelines, Terms and Conditions as may be prescribed by PPFAS AMC from time to time. This facility shall be governed by the terms and conditions of the relevant scheme. PPFAS AMC reserves the right to introduce, change, modify or withdraw the features available in this facility from time to time. vii. Transactions through Electronic Mode The eServices facility includes PPFAS MF SelfInvest Online, PPFAS-MF SelfInvest Mobile App. Please refer SAI for more details. viii. Email based transactions Non-individual investors can submit transactions via email. To avail of this facility, submission of either a Board Resolution (BR) or an authority letter is mandatory. Please refer more details under 'Other Scheme Specific Disclosures'. ix.Registration of Multiple Bank Accounts in respect of an Investor Folio An Investor can register with the Fund upto 5 bank accounts in case of individuals and HUFs and upto 10 in other cases. Registering of Multiple Bank Accounts will enable the Fund to systematically validate the pay-in of funds and avoid acceptance of third party payments. For the purpose of registration of bank account(s), Investor should submit Bank Mandate Registration Form (available at the AMC Website, office of AMC and Official point of Acceptance) together with documents as given in the SAI. x.Facilitating transactions through Stock Exchange Mechanism. PPFAS Mutual Fund is introducing the facility to purchase and redeem units of PPFAS Mutual Fund scheme/s through Stock Exchange Platform, in accordance with SEBI Circulars No. CIR/MRD/DSA/32/2013 dated October 4, 2013, read with SEBI Master Circular for Mutual Funds No. SEBI/HO/IMD/IMD-PoD-1/P/CIR/2024/90 dated June 27, 2024. Please refer SAI for more details. xi. Transaction through "Channel Distributors" Investors may enter into an agreement with certain distributors/ Registered Investment Advisers (RIAs) / Portfolio Managers (with whom AMC also has a tie up) referred to as "Channel Distributors" who provides the facility to investors to transact in units of mutual funds through various modes such as their website/other electronic means or through Power of Attorney/agreement/ any such arrangement in favour of the Channel Distributor, as the case may be. Please refer SAI more details. xii. PPFAS Corp (Web App) PPFAS Mutual Fund launched a new web app "PPFAS Corp" with
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		effect from August 20, 2024. PPFAS Corp offers secure, online investment management for existing corporate entities. Transactions through this app function similarly to those on PPFAS SelfInvest App, with an additional layer of initiators and approvers. This ensures that every transaction is reviewed and authorized before processing, followed with the resolutions approved by the Board of Directors of the respective Companies. Onboarding of new Companies (creating a new folio) will continue to happen offline. PPFAS Corp can be accessed at www.corp.ppfas.com. xiii. MF Central as Official Point of Acceptance: Pursuant to SEBI Master circular for Mutual Funds no. SEBI/HO/IMD/IMD-PoD-1/P/CIR/2024/90 dated June 27, 2024, to comply with the requirements of RTA inter-operable Platform for enhancing investors' experience in Mutual Fund transactions / service requests, the Qualified RTAs, at present, Kfin Technologies Private Limited ("KFintech") and Computer Age Management Services Limited ("CAMS") have jointly developed MFCentral - A digital platform for Mutual Fund investors (hereinafter referred to as "MFCentral" or "the Platform"). MFCentral is created with an intent to be a one stop portal / mobile app for all Mutual fund investments and service-related needs that significantly reduces the need for submission of physical documents by enabling various digital / physical services to Mutual fund investors across fund houses subject to applicable Terms and Conditions of the Platform. MFCentral will be enabling various features and services in a phased manner. MFCentral may be accessed using https://mfcentral.com/ and a Mobile App in future. With a view to comply with all provisions of the aforesaid circular and to increase digital penetration of Mutual Funds, PPFAS Mutual Fund designates MFCentral as its Official Point of Acceptance (DISC - Designated Investor Service Centre) w.e.f. September 23, 2021. Any registered user of MFCentral, requiring submission of physical document as per the requirements of MFCentral, may do so at any of the DISCs or collection centres of Kfintech or CAMS. xiv. Transactions through MF Utilities India Private Limited ('MFU'): Both financial and non-financial transactions pertaining to schemes of PPFAS Mutual Fund can be done through MFU at the authorized Points of Service ("POS") of MFU. The details of POS published on MFU website at www.mfuindia.com will be considered as Official Point of Acceptance (OPA) for transactions in the Scheme.
XXII.	Weblink	Click here for the Total Expense Ratio (TER) - https://amc.ppfas.com/statutory-disclosures/total-expense-ratio-TER/ Click here for Factsheet of the Fund - https://amc.ppfas.com/downloads/factsheet/

DUE DILIGENCE BY THE ASSET MANAGEMENT COMPANY

It is confirmed that:

- (i) The Scheme Information Document submitted to SEBI is in accordance with the SEBI (Mutual Funds) Regulations, 1996 and the guidelines and directives issued by SEBI from time to time.
- (ii) All legal requirements connected with the launching of the Scheme as also the guidelines, instructions, etc., issued by the Government and any other competent authority in this behalf, have been duly complied with.
- (iii) The disclosures made in the Scheme Information Document are true, fair and adequate to enable the investors to make a well informed decision regarding investment in the Scheme.
- (iv) The intermediaries named in the Scheme Information Document and Statement of Additional Information are registered with SEBI and their registration is valid, as on date.
- (v) The contents of the Scheme Information Document including figures, data, yields etc. have been checked and are factually correct.
- (vi) A confirmation that the AMC has complied with the compliance checklist applicable for Scheme Information Documents and other than cited deviations/ that there are no deviations from the regulations.
- (vii) Notwithstanding anything contained in this Scheme Information Document, the provisions of the SEBI (Mutual Funds) Regulations, 1996 and the guidelines there under shall be applicable.
- (viii) The Trustees have ensured that the scheme 'Parag Parikh Arbitrage Fund' approved by them on June 27, 2023, is a new product offered by PPFAS Mutual Fund) and is not a minor modification of any existing scheme/fund/product.

Place: Mumbai.

Date: November 28, 2025

Signed: Sd/-

Name: Priya Hariani

Designation: Chief Compliance Officer and Company Secretary

Part II. INFORMATION ABOUT THE SCHEME

A. HOW WILL THE SCHEME ALLOCATE ITS ASSETS?

Under normal circumstances, the asset allocation pattern will be as follows:

Instruments	Indicative allocations (% of net assets)		Risk Profile
	Minimum	Maximum	High/Medium/Low
Equities & Equity derivatives (Equity Hedged exposure)	65%	100%	Low to Medium
Debt securities & Money Market instruments including margin money deployed in derivatives transactions**	0%	35%	Low to Medium

- (i) ** Debt securities / instruments are deemed to include securitized debt and investment in securitized debt will not exceed 50% of the debt portion of the scheme allocation.
- (ii) The scheme may also invest in SO and CE rated debt securities not exceeding 10% of the debt portfolio of the Scheme and the group exposure in such instruments shall not exceed 5% of the debt portfolio of the Scheme as per SEBI Master Circular for Mutual Funds no. SEBI/HO/IMD/IMD-PoD-1/P/CIR/2024/90 dated June 27, 2024.
- (iii) ** The Scheme may invest in the government securities, treasury bills, reverse repos / repo in government securities, tri-party repos and other like instruments to meet the liquidity requirements, as specified by the Reserve Bank of India / SEBI from time to time.
- (iv) The Scheme may invest upto 100% of its total assets in derivatives for the purpose of hedging and portfolio balancing, based on the opportunities available and subject to guidelines issued by SEBI from time to time.
- (v) The Scheme may undertake repo / reverse repo transactions in Corporate Debt Securities up to 10%.
- (vi) The Scheme may invest in the schemes of Mutual Funds in accordance with the applicable extant SEBI (Mutual Funds) Regulations as amended from time to time.
- (vii) The scheme shall not invest in overseas securities/ADR/GDR, REITs and InvITs, Credit Default Swaps, Short Selling of securities, security lending and borrowing, covered call strategy and Debt Instruments with special features i.e. AT1 and AT2 Bonds.

The exposure to derivatives shown in the above asset allocation table is exposure taken against the underlying equity investments i.e. in case the scheme shall have a long position in a security and a corresponding short position in the same security, then the exposure for the purpose of asset allocation will be counted only for the long position. The intent is to avoid double counting of exposure and not to take additional asset allocation with the use of derivative. If suitable arbitrage opportunities are not available in the opinion of the Investment manager, the Scheme may hedge the equity portfolio by using derivatives or may invest in short term debt / money market instruments.

The notional value exposure in derivatives securities would be reckoned for the purposes of the specified limits, the margin money deployed on these positions would be included in the Money Market category. As per SEBI Master Circular for Mutual Funds no. SEBI/HO/IMD/IMD-PoD-1/P/CIR/2024/90 dated June 27, 2024, the cumulative gross exposure through equity, debt, derivative positions (including commodity and fixed income derivatives), repo transactions and credit default swap in corporate debt securities, Real Estate Investment Trusts (REITs), Infrastructure Investment Trusts (InvITs), other permitted securities/assets and such other securities/ assets as may be permitted by SEBI from time to time shall not exceed 100% of the net assets of the Scheme.

However, cash or cash equivalents with residual maturity of less than 91 days may be treated as not creating any exposure in line with SEBI Master Circular for Mutual Funds no. SEBI/HO/IMD/IMD-PoD-1/P/CIR/2024/90 dated June 27, 2024. Further, SEBI vide letter dated November 3, 2021 has clarified that Cash Equivalent shall consist of Government Securities, T-Bills and Repo on Government Securities.

Indicative Table (Actual instrument/percentages may vary subject to applicable SEBI circulars)

Sl. No	Type of Instrument	Percentage of exposure	Circular references
1.	Securities Lending	The Scheme will not engage in short selling of securities.	SEBI Master circular for Mutual Funds dated June 27, 2024 – Clause 12.11- Stock Lending scheme.
2.	Derivatives	The Scheme may invest, 100% in derivative for hedging and portfolio rebalancing purpose.	SEBI Master circular for Mutual Funds dated June 27, 2024 – Clause 12.25- Norms for investment and disclosure by Mutual Funds in derivatives
3.	Securitized Debt	The Scheme may invest in securitised debt assets upto 50% of the debt portfolio.	SEBI Master circular for Mutual Funds dated June 27, 2024– Clause 12.15- Investment restrictions for securitized debt
4.	Overseas Securities	The scheme will not invest in overseas securities.	SEBI Master circular for Mutual Funds dated June 27, 2024 – Clause 12.19-Overseas investment and SEBI Circular no. SEBI/HO/IMD/IMD-PoD-1/P/CIR/149 dated November 4, 2024
5.	Repo / reverse repo in Corporate debt securities	The scheme will invest in Repos in Corporate debt in accordance with SEBI Master Circular no SEBI/HO/IMD/IMD-PoD-1/P/CIR/2024/90 dated June 27, 2024.	SEBI Master circular for Mutual Funds dated June 27, 2024– Clause 12.18.1.1-Participation of mutual funds in repo in corporate debt securities
6.	Short term deposits with scheduled commercial banks	The Scheme shall not park more than 15% of the net assets in short term deposit(s) of all the scheduled commercial banks put together. However, such limit may be raised to 20% with prior approval of the Trustee. Parking of funds in short term deposits of associate and sponsor scheduled commercial banks together shall not exceed 20% of the total deployment by the Mutual Fund in short term deposits.	SEBI Master circular for Mutual Funds dated June 27, 2024– Clause 12.16- Investment in short term deposits of scheduled commercial banks – pending deployment
7.	Mutual Fund Units	Upto 5% of the net assets of the Mutual Fund (i.e. across all the schemes of the Fund)	Clause 4 of Seventh Schedule of SEBI (MF) Regulations

The scheme will not invest in following securities:

Sr. No.	Securities
1.	Overseas securities
2.	ADR/GDR
3.	REITs and InvITs
4.	Credit Default Swaps
5.	Short Selling of securities
6.	Covered call strategy
7.	Debt Instruments with special features i.e. AT1 and AT2 Bonds
8.	Security lending and borrowing

Change in Asset Allocation/ Investment Pattern

Subject to SEBI (MF) Regulations the asset allocation pattern indicated above may change from time to time, keeping in view market conditions, market opportunities, applicable regulations and political and economic factors. It must be clearly understood that the percentages stated above are only indicative and not absolute and that they can vary substantially depending upon the perception of the Investment Manager, the intention being at all times to seek to protect the interests of the Unit holders. Such changes in the investment pattern will be for short term and for defensive consideration only. In the event of change in the asset allocation, the fund manager will carry out portfolio rebalancing within 30 calendar days or such other timeline as may be prescribed by SEBI from time to time.

It may be noted that no prior intimation/indication would be given to investors when the fund manager deviates from the asset allocation mentioned above for short term or for defensive considerations, including factors such as market conditions, market opportunities, applicable regulations and political and economic factors. In case such deviations are carried, the fund manager shall endeavor to rebalance the asset allocation within 30 calendar days of the deviation. The investors/unit holders can ascertain details of asset allocation of the scheme as on the last date of each month on AMC's website at www.amc.ppfas.com that will display the asset allocation of the scheme as on the given day.

Portfolio Rebalancing due to passive breaches

SEBI vide it's Master Circular for Mutual Funds no. SEBI/HO/IMD/IMD-PoD-1/P/CIR/2024/90 dated June 27, 2024 on Timelines for Rebalancing of Portfolios of Mutual Fund Schemes, the following have been mandated for the applicable schemes of Mutual Funds:

In the event that the asset allocation of the scheme should deviate from the ranges as stated in asset allocation table above, then the portfolio of the scheme will be rebalanced by the fund manager for the position indicated in the asset allocation table above within a maximum period of 30 business days from the date of said deviation.

In case the portfolio of schemes mentioned are not rebalanced within the above mandated timelines (i.e. 30 Business Days), justification in writing, including details of efforts taken to rebalance the portfolio shall be placed before Investment Committee. The Investment Committee, if so desires, can extend the timelines up to sixty (60) business days from the date of completion of the mandated rebalancing period.

In case the portfolio of schemes is not rebalanced within the aforementioned mandated plus extended timelines, AMCs shall:

- i. not be permitted to launch any new scheme till the time the portfolio is rebalanced.
- ii. not to levy exit load, if any, on the investors exiting such scheme(s).

As per SEBI Circular no. SEBI/HO/IMD/PoD2/P/CIR/2025/92 dated June 26, 2025, in case of all passive breaches across actively managed mutual fund schemes (excluding Index Funds and ETFs), including those arising due to corporate actions, market movements, instrument maturity or large redemptions etc., the portfolios shall be rebalanced within 30 business days from the date of breach. This requirement shall also be applicable to breaches of issuer limits, sectoral limits and group exposure limits.

B. WHERE WILL THE SCHEME INVEST?

The corpus of the Scheme shall be invested in any (but not exclusively) of the following securities (as allowed by applicable regulations):

- 1) Equity and equity related instruments:
- 2) Debt securities & Money Market Instruments;

For applicable regulatory investment limits, please refer the section on "Investment Restrictions", under Section II.

The Fund Manager reserves the right to invest in such other securities as may be permitted from time to time and which are in line with the investment objectives of the Scheme.

Subject to the above, any change in the asset allocation affecting the investment profile of the Scheme shall be effected only in accordance with the provisions of sub regulation (15A) of Regulation 18 of the SEBI Regulations, as detailed later in this document.

Debt Market in India

The instruments available in Indian Debt Market are classified into two categories, Government and Non – Government debt securities. The following instruments are available in these categories:

A) Government Debt Securities

- ★ Central Government Debt
- ★ Treasury Bills
- ★ Dated Government Securities
 - Coupon Bearing Bonds
 - Floating Rate Bonds
 - Zero Coupon Bonds
- ★ State Government Debt
 - State Government Loans
 - Coupon Bearing Bonds

B) Non-Government Debt

- ★ Instruments issued by Government Agencies and other Statutory Bodies
 - Government Guaranteed Bonds
 - PSU Bonds

C) Instruments issued by Public Sector Undertakings

- ★ Commercial Paper
- ★ PSU Bonds
- ★ Fixed Coupon Bonds
- ★ Floating Rate Bonds
- ★ Zero Coupon Bonds

Instruments issued by Banks and Development Financial Institutions

- ★ Certificates of Deposit
- ★ Promissory Notes
- ★ Bonds
- ★ Fixed Coupon Bonds
- ★ Floating Rate Bonds
- ★ Zero Coupon Bonds

Instruments issued by Corporate Bodies

- ★ Commercial Paper
- ★ Non-Convertible Debentures
- ★ Fixed Coupon Debentures
- ★ Floating Rate Debentures
- ★ Zero Coupon Debentures
- ★ Pass Through certificates

Instruments that comprise a major portion of money market activity include,

- ★ Overnight Call
- ★ Corporate Debt Repo
- ★ Repo/Reverse Repo Agreements
- ★ Tri Party Repo/Reverse Repo
- ★ Treasury Bills
- ★ Government Securities with a residual maturity of < 1 year
- ★ Commercial Paper and Certificates of Deposit

Apart from these, there are some other options available for short tenure investments that include MIBOR linked debentures with periodic exit options and other such instruments.

C. WHAT ARE THE INVESTMENT STRATEGIES?

INVESTMENT STRATEGIES

Some of the arbitrage strategies that may be employed by the fund manager include:

Cash Futures Arbitrage:

The scheme would look for market opportunities between the spot and the futures market.

The cash futures arbitrage strategy can be employed when the price of the futures exceeds the price of the underlying stock. The Scheme will first buy the stocks in the cash market and then sell in the futures market to

lock the spread known as arbitrage return. Buying the stock in the cash market and selling the futures results into a hedge where the Plans have locked in a spread and is not affected by the price movement of the cash market and futures market.

The arbitrage position can be continued till expiry of the future contracts. There is a convergence between the cash market and the futures market on expiry. This convergence helps the Plans under the Scheme to generate the arbitrage return locked in earlier.

However, the position could even be closed earlier in case the price differential is realized before expiry or better opportunities are available in other stocks. The strategy is attractive if this price differential (post all costs) is higher than the investor's cost-of-capital.

Rolling over of the Futures Transaction:

This strategy involves unwinding the short position in the current month's futures and simultaneously selling futures of the subsequent month, while holding onto the spot position. For example, if the fund manager anticipates a change in market conditions, they may choose to unwind their current month's futures position and roll it over to the subsequent month.

Dividend Arbitrage:

For example, prior to a dividend declaration, the stock futures/options market may provide a profitable opportunity. Typically, the stock price declines by the dividend amount when the stock goes ex-dividend. The fund manager may take advantage of this by buying the stock in the spot market and selling the same stock in the futures market.

Objective of the above Strategies:

The objective of the strategy is to lock-in the arbitrage gains.

Risk Associated with the above Strategies:

- Lack of opportunity available in the market.
- The risk of mispricing or improper valuation and the inability of derivatives to correlate perfectly with underlying assets, rates and indices.
- Execution Risk: The prices which are seen on the screen need not be the same at which execution will take place.

Investment in debt securities will be guided by credit quality, liquidity, interest rates and their outlook. The Scheme may also invest in the schemes of Mutual Funds.

The fund manager will seek to play out the yield curve and exploit anomalies if any in portfolio construction after analysing the macro-economic environment including future course of system liquidity, interest rates and inflation along with other considerations in the economy and markets.

The investment team of the AMC will, as a mitigation and risk control procedure, carry out rigorous credit evaluation of the issuer company proposed to be invested in. The credit evaluation will analyse the operating environment of the issuer, business model, management, governance practices, quality of the financials, the past track record as well as the future prospects of the issuer and the financial health of the issuer.

Though every endeavour will be made to achieve the objectives of the Scheme, the AMC/Sponsor/Trustees do not guarantee that the investment objectives of the Scheme will be achieved. No guaranteed returns are being offered under the Scheme.

Portfolio Turnover:

The Scheme being an open-ended scheme, it is expected that there would be a number of subscriptions and redemptions on a daily basis. Consequently, it is difficult to estimate with any reasonable measure of accuracy, the likely turnover in the portfolio. There may be an increase in transaction cost such as brokerage paid, if trading

is done frequently. Frequent trading may increase the profits which will offset the increase in costs. The fund manager will endeavor to optimize portfolio turnover to maximize gains and minimize risks keeping in mind the cost associated with it. However, it is difficult to estimate with reasonable accuracy, the likely turnover in the portfolio of the Scheme. The Scheme has no specific target relating to portfolio turnover.

D. HOW WILL THE SCHEME BENCHMARK ITS PERFORMANCE?

The performance of the Scheme will be benchmarked with **Nifty 50 Arbitrage TRI**.

Justification: The composition of the aforesaid benchmark is such that, it is most suited for comparing the performance of the scheme,

As required under SEBI Master Circular for Mutual Funds no. SEBI/HO/IMD/IMD-PoD-1/P/CIR/2024/90 dated June 27, 2024, the benchmark has been selected from amongst those notified by AMFI as the first tier benchmark to be adopted by mutual funds and which are reflective of the category of the scheme.

The Scheme aims to generate capital appreciation and income through arbitrage opportunities and debt & money market instruments. The performance will be benchmarked to the Total Returns Variant of the Index. The Trustee reserves the right to change the benchmark for evaluation of performance of the Scheme from time to time in conformity with investment objective of the Scheme and appropriateness of the benchmark subject to SEBI Regulations and other prevailing guidelines, if any. Total Return variant of the index (TRI) will be used for performance comparison.

E. WHO MANAGES THE SCHEME?

Name and Age	Educational Qualifications	Experience	Other Fund Managed
Rajeev Thakkar (Chief Investment officer - Equity and Fund Manager - Equity) 53 years (Managing since inception)	B. Com. (Bombay University) Chartered Accountant CFA Charter Holder Grad ICWA	Till March 2012 he was acting as Chief Executive Officer of PPFAS (Sponsor Company). He joined the company in 2001. He started his career in the year 1994 and he has experience of working in areas like; merchant banking, managing fixed income portfolio, broking operations, PMS operations for over two decades. He was functioning as a Fund Manager for PMS	Parag Parikh ELSS Tax Saver Fund (PPTSF) Parag Parikh Flexi Cap Fund (PPFCF) Parag Parikh Conservative Hybrid Fund (PPCHF) Parag Parikh Dynamic Asset Allocation Fund (PPDAAF)

		service of PPFAS managing a portfolio of around Rs. 300 crores. He is acting as Chief Investment Officer - Equity and Equity Fund Manager to the Company.	
Raunak Onkar (Dedicated Fund Manager for Overseas Investments and Head - Research) 40 years (Managing since inception)	Bsc. IT (Bombay University) MMS- Finance (Bombay University)	He has more than 10 years of experience in the capital market. He started his career with Parag Parikh Financial Advisory Services Limited, following his internship, in the year 2009. He joined PPFAS as a research analyst. He was appointed as Head-research in the year 2011. He is working with the company as an Dedicated Fund Manager for the Overseas Investment.	Parag Parikh ELSS Tax Saver Fund (PPTSF) Parag Parikh Flexi Cap Fund (PPFCF) Parag Parikh Conservative Hybrid Fund (PPCHF) Parag Parikh Dynamic Asset Allocation Fund (PPDAAF)
Raj Mehta (Executive Vice President & Fund Manager – Equity) 36 years (Managing since September 01, 2025)	B.Com (Mumbai University), M.Com (Mumbai University), Chartered Accountant, CFA Level III Pass.	He is appointed as a Fund Manager - Equity with effect from September 01, 2025. He started his career with PPFAS Asset Management Pvt Ltd as an intern in 2012. Following which, he joined the company as a Research Analyst in 2013.	Parag Parikh ELSS Tax Saver Fund (PPTSF) Parag Parikh Conservative Hybrid Fund (PPCHF) Parag Parikh Dynamic Asset Allocation Fund (PPDAAF) Parag Parikh Flexi Cap Fund (PPFCF)
Rukun Tarachandani (Executive Vice President & Fund Manager – Equity)	Post Graduate Diploma in Management (Specialization: Finance), B. Tech	He is appointed as a Fund Manager - Equity with effect from May 16, 2022. Mr. Rukun Tarachandani has more than 9 years of	Parag Parikh ELSS Tax Saver Fund (PPTSF) Parag Parikh Flexi Cap Fund (PPFCF)

Manager - Equity) 35 years (Managing since inception)	(Information Technology), Chartered Financial Analyst (CFA) Charterholder Certificate in Quantitative Finance (CQF)	experience in the financial market in Equity research and Fund Management (Arbitrage). He is based in Mumbai and will be responsible for fund management of the equity portion of schemes of PPFAS Mutual Fund. He joined PPFAS Asset Management Pvt. Ltd. in March 2021 as Vice President - Research. He is involved in Quantitative Research to identify investment opportunities in listed equities. Prior to joining PPFAS Asset Management Limited his previous assignments held during the last 10 years were as below: 1. Goldman Sachs (India) Securities Pvt Ltd (From April 2013 to March 2015): He was part of the Sell-side Equity Research team focussed on US Banks and Credit Card companies 2. Kotak Mahindra Asset Management Company Limited (From March 2015 to February 2021) Mr. Rukun was appointed as an Equity Research analyst and was involved in Equity Research for Indian stocks across market capitalization and across sectors. He was also responsible for identifying and evaluating special investment opportunities in listed equities. He also	Parag Parikh Conservative Hybrid Fund (PPCHF) Parag Parikh Dynamic Asset Allocation Fund (PPDAAF)
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		managed the Kotak Equity Arbitrage Fund from May-2019 to Dec-2019.	
Tejas Soman (Chief Investment Officer – Debt & Fund Manager - Debt) 33 years (Managing since September 01, 2025)	CFA Level III Candidate Post Graduate Program Securities Markets, National Institute of Securities Markets (NISM)	Mr. Tejas Soman has spent over a decade in the fixed income markets. Prior to PPFAS, He worked with SBI Funds Management Ltd. as a Fund Manager, where he managed a range of fixed income portfolios. He has also worked with Yes Bank in its primary dealership unit, STCI Primary Dealership, and PricewaterhouseCoopers in tax and regulatory advisory. He holds his post-graduation in securities markets from National Institute of Securities Markets (NISM).	Parag Parikh Flexi Cap Fund (PPFCF) Parag Parikh ELSS Tax Saver Fund (PPTSF) Parag Parikh Dynamic Asset Allocation Fund (PPDAAF) Parag Parikh Liquid Fund (PPLF) Parag Parikh Conservative Hybrid Fund (PPCHF)
Aishwarya Dhar (Senior Manager & Fund Manager - Debt) 38 Years (Managing since September 01, 2025)	MBA- Finance	Ms. Aishwarya has started her career with Tata AIA Life Insurance Co. Ltd as Executive Finance from September 2012 till May 2015 and handled Accounts Payable & Procurement. She had further joined the Debt Dealing team in ManipalCigna Health Insurance Co. Ltd. as Deputy Manager – Dealer Portfolio from June 2015 till March 2021. She had a total experience of 8 Years and 6 months in the Financial Service Industry. Ms. Aishwarya Dhar was appointed as a Debt Dealer for the Schemes of the PPFAS Mutual Fund in March 2021. She was appointed as Fund Manager – Debt with effect from September 1, 2025	Parag Parikh Flexi Cap Fund (PPFCF) Parag Parikh Liquid Fund (PPLF) Parag Parikh ELSS Tax Saver Fund (PPTSF)

F. HOW IS THE SCHEME DIFFERENT FROM EXISTING SCHEMES OF THE MUTUAL FUND?

The existing open-ended hybrid schemes of PPFAS Mutual Fund are as below :

Sr. No.	Name of scheme	Type of scheme
1	Parag Parikh Conservative Hybrid Fund	An open-ended hybrid scheme investing predominantly in debt instruments
2	Parag Parikh Dynamic Asset Allocation Fund	An open-ended dynamic asset allocation fund

For a detailed comparison table of aspects viz., scheme type, investment objective, differentiation, Assets Under Management and No. of folios of each of the above schemes, kindly refer to the below link:

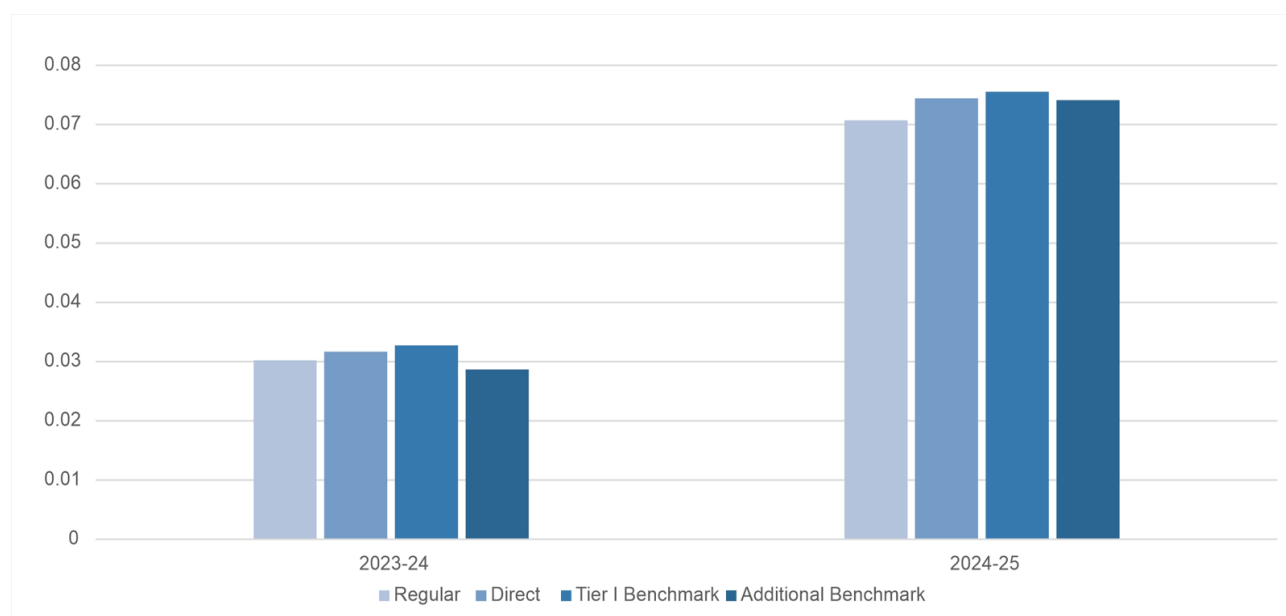
<https://amc.ppfas.com/downloads/disclosure-related-to-offer-documents/>

G. HOW HAS THE SCHEME PERFORMED

Performance	Direct Plan	Regular Plan	AMFI Tier 1 Benchmark (Nifty 50 Arbitrage TRI)	Additional Benchmark (CRISIL 1 year T-Bill Index)
September 30, 2024 to September 30, 2025 (Last 1 Year)	6.81%	6.44%	7.87%	6.78%
Since Inception* (November 2, 2023)	7.25%	6.87%	7.52%	7.20%

* Since inception returns are calculated on Rs. 10/- (allotment price)

Absolute Returns for each Financial Year for the last Five years.



Notes -

1. Past performance may or may not be sustained in future and is not a guarantee of any future returns.
2. Different Plans i.e. Regular Plan and Direct Plan under the scheme have different expense structure.
3. Greater than 1-year returns are CAGR returns
4. AMFI Tier I Benchmark: Nifty 50 Arbitrage TRI.
5. Additional Benchmark – CRISIL 1 Year T-Bill Index
6. Allotment date of the scheme (2-Nov-2023). Face Value per unit: Rs. 10/-.

H. ADDITIONAL SCHEME RELATED DISCLOSURES

Sr.	Disclosure	Website link/ Details
i)	Scheme's portfolio holdings (top 10 holdings by issuer and fund allocation towards various sectors)	https://amc.ppfas.com/downloads/portfolio-disclosure/
ii)	Portfolio Disclosure - Monthly/ Half Yearly	Monthly – https://amc.ppfas.com/downloads/portfolio-disclosure/ Half yearly - https://amc.ppfas.com/schemes/scheme-s-financial-half-yearly/
iii)	Portfolio Turnover Rate (for equity schemes)	NA

iv)	Aggregate investment in the Scheme by Fund Manager (Details of investment by AMC Key personnel and Directors is part of SAI)	<table><tr><th rowspan="2">Sr. No .</th><th rowspan="2">Name of Fund Manager(s)</th><th colspan="2">Net Value</th><th rowspan="2">Market Value (in Rs.)</th></tr><tr><th>Units</th><th>NAV per unit</th></tr><tr><td>1</td><td>Rajeev Thakkar</td><td>27202.877</td><td>11.4314</td><td>3,10,966.97</td></tr><tr><td>2</td><td>Raunak Onkar</td><td>449735.973</td><td>11.4314</td><td>51,41,111.8</td></tr><tr><td>3</td><td>Raj Mehta</td><td>4095.205</td><td>11.4314</td><td>46,813.93</td></tr><tr><td>4</td><td>Rukun Tarachandani</td><td>27739.515</td><td>11.4314</td><td>3,17,101.5</td></tr><tr><td>5</td><td>Tejas Soman</td><td>97.917</td><td>11.4314</td><td>1,119.33</td></tr><tr><td>6</td><td>Aishwarya Dhar</td><td>3838.495</td><td>11.4314</td><td>43,879.37</td></tr></table> Note: Mr. Tejas Soman, Ms. Aishwarya Dhar (Debt Segment) and Raj Mehta (Equity segment) are managing the fund w.e.f. September 01, 2025.	Sr. No .	Name of Fund Manager(s)	Net Value		Market Value (in Rs.)	Units	NAV per unit	1	Rajeev Thakkar	27202.877	11.4314	3,10,966.97	2	Raunak Onkar	449735.973	11.4314	51,41,111.8	3	Raj Mehta	4095.205	11.4314	46,813.93	4	Rukun Tarachandani	27739.515	11.4314	3,17,101.5	5	Tejas Soman	97.917	11.4314	1,119.33	6	Aishwarya Dhar	3838.495	11.4314	43,879.37
Sr. No .	Name of Fund Manager(s)	Net Value			Market Value (in Rs.)																																		
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5	Tejas Soman	97.917	11.4314	1,119.33																																			
6	Aishwarya Dhar	3838.495	11.4314	43,879.37																																			
v)	AMC's investment in the Scheme	The AMC, Trustee, Sponsor, or their associates may invest in the Scheme subject to the SEBI Regulations & circulars issued by SEBI and to the extent permitted by its Board of Directors from time to time. As per the existing SEBI Regulations, the AMC will not charge investment management and advisory fee on the investment made by it in the Scheme. The AMC shall based on the risk value assigned to the scheme, in terms of para 17.4 of SEBI Master Circular for Mutual Funds No. SEBI/HO/IMD/IMD-PoD-1/P/CIR/2024/90 dated June 27, 2024, shall invest minimum amount as a percentage of assets under management ('AUM') as per provisions of para 6.9 and 6.10 of SEBI Master Circular for Mutual Funds no. SEBI/HO/IMD/IMD-PoD-1/P/CIR/2024/90 dated June 27, 2024 as amended from time to time. Link https://amc.ppfas.com/statutory-disclosures/mandatory-skin-in-the-game-for-amc/																																					

Part III- OTHER DETAILS

A. COMPUTATION OF NAV

The Net Asset Value (NAV) per Unit of the Scheme(s) will be computed by dividing the net assets of the Scheme(s) by the number of Units outstanding under the Scheme on the valuation date. The Mutual Fund will value its investments according to the valuation norms, as specified in Schedule VIII of the SEBI (MF) Regulations, or such norms as may be specified by SEBI from time to time. NAV of Units of under each Scheme / Plan shall be calculated as shown below:

$$\text{NAV (Rs) per unit} = \frac{\begin{array}{l} \text{Market or Fair Value of the Scheme's Investments} \\ + \text{Current Assets including Accrued income} \\ - \text{Current Liabilities and Provisions} \end{array}}{\text{No. of Units outstanding under the Scheme / Plan/ Option on the Valuation day}}$$

The NAV of the Scheme(s) will be calculated and disclosed at the close of every Business Day.

The AMC will calculate and disclose the first NAV of the Scheme within a period of 5 business days from the date of allotment. Subsequently, the NAVs will be calculated for all the Business Days. Separate NAV will be declared for Direct and Regular Plan (Please refer to SEBI Master circular for Mutual Funds no. SEBI/HO/IMD/IMD-PoD-1/P/CIR/2024/90 dated June 27, 2024).

The NAV of the Scheme(s) will be calculated up-to 4 decimals. Units will be allotted up-to 3 decimals.

NAV will also be displayed on the website of the Mutual Fund. In addition, the ISCs would also display the NAV.

The Fund will ensure the repurchase price of the scheme shall not be lower than 97% of the NAV as provided for under the regulations.

Illustration for Computation of NAV:

NAV for the Scheme shall be calculated as shown below:

Particulars	Amount (in INR)
Assets	
Investments (at Market Value)	10,000
(Equity/Debt/Derivatives)	
Current Assets	
Interest receivable	1,000
Dividend Receivables	550
Trades Receivables	1,500
Total Assets (A)	13,050
Current Liabilities	
Trade Payables	1,500
Expense Payable	25
Dividend payable	25
Total Liabilities (B)	1,550
Net Assets (C) (A – B)	11,500
Units Outstanding (D)	1,000
NAV per unit (C/D)	₹ 11.50

B. NEW FUND OFFER (NFO) EXPENSES

These expenses are incurred for the purpose of various activities related to the NFO like sales and distribution fees, marketing and advertising expenses, Registrar & Transfer Agents' expenses, printing and stationary, bank charges etc.

In accordance with the provisions of SEBI Master circular for Mutual Funds no. SEBI/HO/IMD/IMD-PoD-1/P/CIR/2024/90 dated June 27, 2024, the NFO expenses shall be borne by the AMC/ Trustee/Sponsor and not by the scheme of mutual fund.

C. ANNUAL SCHEME RECURRING EXPENSES

These are the fees and expenses for operating the Scheme. These expenses include Investment Management and Advisory Fee charged by the AMC, Registrar and Transfer Agents' fee, marketing and selling costs etc. as given in the table below:

The AMC has estimated that the following % of the daily net assets of the Scheme will be charged to the Scheme as expenses. Please refer to the table below for details. For the actual current expenses being charged, the investor should refer to the website of the Mutual Fund viz. <https://amc.ppfas.com/statutory-disclosures/total-expense-ratio-TER/>.

Sr. No	Expenses Head	(% p.a. of Daily Net Assets* (Estimated p.a.)
i.	Investment Management & Advisory Fees	Upto 2.25%
ii.	Trustee Fees	
iii.	Audit Fees	
iv.	Custodian Fees	
v.	Registrar & Transfer Agent Fees including cost of providing account statements / IDCW / redemption cheques/ warrants	
vi.	Marketing & Selling expenses incl. agent commission and statutory advertisement	
vii.	Costs related to investor communications	
viii.	Cost of fund transfer from location to location	
ix.	Cost towards investor education & awareness (at least 0.02 percent p.a)	
x.	Brokerage & transaction cost pertaining to distribution of units	
xi.	Goods and Services tax on expenses other than investment and advisory fees	
xii.	Goods and Services tax on brokerage and transaction cost	
xiii.	Other Expenses (to be specified as per Reg 52 of SEBI MF Regulations)	
A.	Maximum total expense ratio (TER) permissible under Regulation 52 (6) (c)	Upto 2.25%
B.	Additional expenses under regulation 52 (6A) (c)^	Upto 0.05%

^ In terms of SEBI Master circular for Mutual Funds no SEBI/HO/IMD/IMD-PoD-1/P/CIR/2024/90 dated June 27, 2024, in case exit load is not levied / not applicable, the AMC shall not charge the said additional expenses.

All scheme related expenses including commission paid to distributors, by whatever name it may be called and in whatever manner it may be paid, shall necessarily be paid from the scheme only within the regulatory limits and not from the books of the Asset Management Companies (AMC), its associate, sponsor, trustee or any other entity through any route. However, expenses that are very small in value but high in volume may be paid out of AMC's books at actuals or not exceeding 2 bps of respective Scheme AUM, whichever is lower. A list of such

miscellaneous expenses will be as provided by AMFI in consultation with SEBI.

***Note: Expenses of Direct Plan will be lower than expenses of the Regular Plan as no commission/distribution expenses will be charged in the case of Direct Plan. All fees and expenses charged in a direct plan (in percentage terms) under various heads including the investment and advisory fee shall not exceed the fees and expenses charged under such heads in a regular plan. NAV of the Direct Plan will be different than the NAV of Regular Plan.**

***Impact of TER on Scheme returns (for both Direct and Regular plans)**

Expense ratio, normally expressed as a percentage of Average Assets under Management, is calculated by dividing the permissible expenses under the Regulations by the average net assets.

To further illustrate the above, for the Scheme under reference, suppose an Investor invested ₹ 10,000/- under the Growth Option, the impact of expenses charged will be as under:

Particulars	Regular Plan	Direct Plan
Amount invested at the beginning of the year (Rs.)	10,000	10,000
Returns before expenses (Rs.)	1,500	1,500
Expenses other than Distribution expenses (Rs.)	150	150
Distribution expenses (Rs.)	50	0
Returns after expenses at the end of the year (Rs.)	1300	1350
Returns (in %)	13%	13.5%

- The purpose of the above illustration is purely to explain the impact of expense ratio charged to the Plan(s) under the Scheme and should not be construed as providing any kind of investment advice or guarantee of returns on investments.
- It is assumed that the expenses charged are evenly distributed throughout the year.
- The expenses of the Direct Plan of the Scheme will be lower to the extent of the distribution expenses/commission
- Any tax impact has not been considered in the above example, in view of the individual nature of the tax implications. Each investor is advised to seek appropriate advice.

The exact web link for TER is <https://amc.ppfas.com/statutory-disclosures/total-expense-ratio-TER/>

As per Para B of the SEBI Master Circular for Mutual Funds No. SEBI/HO/IMD/IMD-PoD-1/P/CIR/2024/90 dated June 27, 2024, GST shall be charged as follows:

1. GST on investment management and advisory fees shall be charged to the Scheme in addition to the maximum limit of TER disclosure as prescribed in Regulation 52 (6) of the SEBI (MF) Regulations.
2. GST on other than investment management and advisory fees, if any, shall be borne by the Scheme within the maximum limit of TER as prescribed in Regulation 52 (6) of the SEBI (MF) Regulations.
3. GST on exit load, if any, shall be paid out of the exit load proceeds and exit load net of GST, if any, shall be credited to the Scheme.
4. GST on brokerage and transaction cost paid for execution of trade, if any, shall be within the limit prescribed under Regulation 52 of the SEBI (MF) Regulations.

The AMC shall charge the Mutual Fund with investment and advisory fee as prescribed in the SEBI (MF) Regulations from time to time. Presently, the SEBI (MF) Regulations permit fees are as follows:

The recurring expenses of the Scheme shall be as per the limits prescribed under the SEBI (MF) Regulations. These are as follows:

Assets under management Slab (Rs. In Crore)	Total Expense ratio format
On the first Rs. 500 crores of the daily net assets	2.25% p.a;
On the next Rs. 250 crores of the daily net assets	2.00% p.a;
On the next Rs. 1,250 crores of the daily net assets	1.75% p.a;
On the next Rs. 3,000 crores of the daily net assets	1.60% p.a;
On the next Rs. 5,000 crores of the daily net assets	1.50% p.a
On the next Rs. 40,000 crores of the daily net assets	Total expense ratio reduction of 0.05% for every increase of Rs. 5,000 crores of daily net assets or part thereof.
On the balance of the assets	1.05 p.a%;

It is possible that the AMC may charge the maximum recurring expenses provided above as investment management and advisory fees. In such case the other recurring expenses will not be charged to the Scheme.

In terms of SEBI Master Circular for Mutual Funds no SEBI/HO/IMD/IMD-PoD-1/P/CIR/2024/90 dated June 27, 2024, the AMC shall annually set apart at least 0.02% on daily net assets within the maximum limit of recurring expenses as per Regulation 52 for investor education and awareness initiatives.

1. Brokerage and transaction cost incurred for the purpose of execution of trade shall be charged to the schemes as provided under Regulation 52 (6A) (a) upto 12 bps and 5 bps for cash market transactions and derivatives transactions respectively. Any payment towards brokerage & transaction costs, over and above the said 12 bps and 5 bps for cash market transactions and derivatives transactions respectively may be charged to the Scheme within the maximum limit of Total Expense Ratio (TER) as prescribed under Regulation 52 of the SEBI (Mutual Funds) Regulations, 1996.

2. As per SEBI Master Circular for Mutual Funds no. SEBI/HO/IMD/IMD-PoD-1/P/CIR/2024/90 dated June 27, 2024 3, additional expenses of 30 basis points, shall be charged based on inflows only from retail investors from beyond top 30 cities.

As per SEBI Master Circular for Mutual Funds no. SEBI/HO/IMD/IMD-PoD-1/P/CIR/2024/90 dated June 27, 2024, inflows of amount upto Rs 2,00,000/- per transaction, by individual investors shall be considered as inflows from "retail investor".

Note: SEBI vide its letter no. SEBI/HO/IMD-SEC-3/P/OW/2023/5823/1 dated February 24, 2023 and AMFI letter dated No.35P/MEM-COR/85-a/2022-23 dated March 02, 2023 has directed AMCs to keep B-30 incentive structure in abeyance with effect from March 01, 2023 till further notice.

Currently, SEBI has specified that the above additional expense may be charged for inflows from beyond 'Top 30 cities'. Top 30 cities shall mean top 30 cities based on Association of Mutual Funds in India (AMFI) data on 'AUM by Geography - Consolidated Data for Mutual Fund Industry' as at the end of the previous financial year.

3. Expenses not exceeding 0.05% p.a. of daily net assets towards Investment Management and Advisory Fees and the various sub-heads of recurring expenses mentioned under Regulation 52 (2) and (4) respectively of SEBI (MF) Regulations. However, in terms of SEBI Master Circular for Mutual Funds no. SEBI/HO/IMD/IMD-PoD-1/P/CIR/2024/90 dated June 27, 2024, in case exit load is not levied / not applicable, the AMC shall not charge the said additional expenses to the scheme.

The total expenses of the Scheme including the Investment Management and Advisory Fee shall not exceed the limits stated in Regulation 52 of the SEBI (MF) Regulations.

The total expense ratios of the schemes of the Fund are available in downloadable spreadsheet format on the AMC website and AMFI website. Any change in the current expense ratios will be updated at least three working days prior to the effective date of the change. For the current total expense ratio details of the Scheme, investors may visit <https://amc.ppfas.com/statutory-disclosures/total-expense-ratio-TER/> available on the website of the AMC viz., [www.amc.ppfas.com](http://amc.ppfas.com) and AMFI's website viz., www.amfiindia.com.

D. LOAD STRUCTURE

Load is an amount which is paid by the investor to subscribe to the units or to redeem the units from the scheme. This amount is used by the AMC to pay commissions to the distributor and to take care of other marketing and selling expenses. Load amounts are variable and are subject to change from time to time. For the current applicable structure, please refer to the website of the AMC (<http://amc.ppfas.com>) or call at 1800-266-8909 or your distributor.

Type of Load#	Load chargeable (as %age of NAV)
Entry Load	Not Applicable
Exit Load	- In respect of each purchase / switch-in of units, an Exit Load of 0.25% is payable if Units are redeemed/ switched-out within 30 days from the date of allotment. - No Exit Load is payable if Units are redeemed / switched-out after 30 days from the date of allotment. Any exit load charged (net off GST, if any) shall be credited back to the Scheme. No exit load will be charged, in case of switch transactions between Regular Plan to Direct Plan and vice versa of the Scheme for existing as well as prospective investors.

#Applicable for normal subscriptions / redemptions including transactions under special products such as SIP, STP, SWP, switches, etc. offered by the AMC.

Under the Scheme, the Trustee / AMC reserves the right to modify / change the Load structure if it deems fit in the interest of smooth and efficient functioning of the Mutual Fund. The AMC reserves the right to introduce / modify the Load Structure depending upon the circumstances prevailing at that time subject to maximum limits as prescribed under the SEBI (Mutual Funds) Regulations.

The Load may also be changed from time to time and in the case of an Exit / Redemption Load this may be linked to the period of holding.

The Repurchase Price however, will not be lower than 97% of the NAV as prescribed by SEBI from time to time

Any imposition or enhancement of Exit Load in the load shall be applicable on prospective investments only. The investor is requested to check the prevailing load structure of the scheme before investing.

However, AMC shall not charge any load on the issue of bonus units and units allotted on reinvestment of IDCW for existing as well as prospective investors. At the time of changing the load structure the AMC / Mutual Fund may adopt the following procedure:

1. The addendum detailing the changes will be attached to Scheme Information Document and Key Information Memorandum and displayed on our website <http://amc.ppfas.com> The addendum will be circulated to all the distributors / brokers so that the same can be attached to all Scheme Information Document and Key Information Memorandum already in stock.
2. Arrangements will be made to display the changes / modifications in the Scheme Information Document in the form of a notice in all the Investor Service Centers and distributors / brokers office.
3. The introduction of the Load along with the details will be stamped in the acknowledgment slip issued to the investors on submission of the application form and will also be disclosed in the Account Statement or in the covering letter issued to the Unit holders after the introduction of such Load.
4. A public notice shall be given in respect of such changes in one English daily newspaper having nationwide circulation as well as in a newspaper published in the language of region where the Head Office of the Mutual Fund is situated.
5. GST on exit load, if any, shall be paid out of the exit load proceeds. The entire exit load (net of GST), charged, if any, shall be credited to the Scheme.
6. Any other majors which the mutual fund may feel necessary.

Section II

I. Introduction

A. Definitions/interpretation –

Visit: <https://amc.ppfas.com/downloads/disclosure-related-to-offer-documents/>

B. Risk factors

- Scheme specific risk factors

Some of the specific risk factors related to the Scheme include, but are not limited to the following:

In case of a large redemption, the scheme may need to reverse the spot-futures transaction before the date of futures' settlement.

While reversing the spot-futures transaction on the Futures & Options settlement day on the National Stock Exchange, there could be a risk of volume-weighted-average-price of the market being different from the price at which the actual reversal is processed. This may result in basis risk.

1. Risks associated with investments in Equity and Equity related instruments

- Equity and Equity related instruments are volatile in nature and are subject to price fluctuations on a daily basis. The volatility in the value of the equity and equity related instruments is due to various micro and macro- economic factors affecting the securities markets. This may have an adverse impact on individual securities/sector and consequently on the NAV of Scheme.
- The inability of the Scheme to make intended securities purchases due to settlement problems could cause the Scheme to miss certain investment opportunities as in certain cases, settlement periods may be extended significantly by unforeseen circumstances. Similarly, the inability to sell securities held in the schemes portfolio may result, at times, in potential losses to the scheme, should there be a subsequent decline in the value of the securities held in the schemes portfolio.
- Trading volumes, settlement periods and transfer procedures may restrict the liquidity of the investments made by the scheme. Different segments of the Indian financial markets have different settlement periods and such periods may be extended significantly by unforeseen circumstances leading to delays in receipt of proceeds from sale of securities.
- The AMC may invest in unlisted securities within the regulatory limit. This may however increase the risk of the portfolio as these unlisted securities are inherently illiquid in nature and carry larger liquidity risk as compared to the listed securities or those that offer other exit options to the investors.

2. Risk Factors Associated with Fixed Income Securities and Money Market Instruments

Interest-Rate Risk: Fixed income securities such as government bonds, corporate bonds, and money market instruments and derivatives run price-risk or interest-rate risk. Generally, when interest rates rise, prices of existing fixed income securities fall and when interest rates drop, such prices increase. The extent of fall or rise in the prices depends upon the coupon and maturity of the security. It also depends upon the yield level at which the security is being traded.

Reinvestment Risk: Investments in fixed income securities carry reinvestment risk as interest rates prevailing on the coupon payment or maturity dates may differ from the original coupon of the bond.

Basis Risk: The underlying benchmark of a floating rate security or a swap might become less active or may cease to exist and thus may not be able to capture the exact interest rate movements, leading to loss of value of the portfolio.

Spread Risk: In a floating rate security the coupon is expressed in terms of a spread or mark up over the benchmark rate. In the life of the security this spread may move adversely leading to loss in value of the portfolio. The yield of the underlying benchmark might not change, but the spread of the security over the underlying benchmark might increase leading to loss in value of the security.

Liquidity Risk: The liquidity of fixed income securities may change, depending on market conditions leading to changes in the liquidity premium attached to the price of the bond. At the time of selling the security, the security can become illiquid, leading to loss in value of the portfolio.

Credit Risk: This is the risk associated with the issuer of a debenture/bond or a money market instrument defaulting on coupon payments or in paying back the principal amount on maturity. Even when there is no default, the price of a security may change with expected changes in the credit rating of the issuer. It is to be noted here that a Government Security is a sovereign security and is the safest. Corporate bonds carry a higher amount of credit risk than Government securities. Within corporate bonds also there are different levels of safety and a bond rated higher by a particular rating agency is safer than a bond rated lower by the same rating agency.

Liquidity Risk on account of unlisted securities: The liquidity and valuation of the Scheme investments due to their holdings of unlisted securities may be affected if they have to be sold prior to their target date of divestment. The unlisted security can go down in value before the divestment date and selling of these securities before the divestment date can lead to losses in the portfolio.

Counterparty Risk: - This is the risk of failure of counterparty to a transaction to deliver securities against consideration received or to pay consideration against securities delivered, in full or in part or as per the agreed specification. There could be losses to the Scheme in case of a counterparty default.

Settlement Risk: Fixed income securities run the risk of settlement which can adversely affect the ability of the fund house to swiftly execute trading strategies which can lead to adverse movements in NAV.

Risks associated with unrated instruments: -Investments in unrated instruments are subject to the risk associated with investments in any other fixed income securities, as referred above. However, investments in unrated instruments are considered to be subject to greater risk of loss of principal and interest than rated instruments.

3. Risks associated with Investing in Structured Obligation (SO) & Credit Enhancement (CE) rated securities - The risks factors stated below for the Structured Obligations & Credit Enhancement are in addition to the risk factors associated with debt instruments.

-Credit rating agencies assign CE rating to an instrument based on any identifiable credit enhancement for the debt instrument issued by an issuer. The credit enhancement could be in various forms and could include guarantee, shortfall undertaking, letter of comfort, etc. from another entity. This entity could be either related or non-related to the issuer like a bank, financial institution, etc. Credit enhancement could include additional security in form of pledge of shares listed on stock exchanges, etc. SO transactions are asset backed/ mortgage backed securities, securitized paper backed by hypothecation of car loan receivables, securities backed by trade receivables, credit card receivables etc. Hence, for CE rated

instruments evaluation of the credit enhancement provider, as well as the issuer is undertaken to determine the issuer rating. In case of SO rated issuer, the underlying loan pools or securitization, etc. is assessed to arrive at rating for the issuer.

Liquidity Risk: SO rated securities are often complex structures, with a variety of credit enhancements. Debt securities lack a well-developed secondary market in India, and due to the credit enhanced nature of CE securities as well as structured nature of SO securities, the liquidity in the market for these instruments is adversely affected compared to similar rated debt instruments. Hence, lower liquidity of such instruments, could lead to inability of the scheme to sell such debt instruments and generate liquidity for the scheme or higher impact cost when such instruments are sold.

Credit Risk: The credit risk of debt instruments which are CE rated derives rating based on the combined strength of the issuer as well as the structure. Hence, any weakness in either the issuer or the structure could have an adverse credit impact on the debt instrument. The weakness in structure could arise due to inability of the investors to enforce the structure due to issues such as legal risk, inability to sell the underlying collateral or enforce guarantee, etc. In case of SO transactions, comingling risk and risk of servicer increases the overall risk for the securitized debt or assets backed transactions. Therefore, apart from issuer level credit risk such debt instruments are also susceptible to structure related credit risk.

4. Risk factors associated with investing in Derivatives:

The AMC, on behalf of the Scheme may use various derivative products, from time to time, in an attempt to protect the value of the portfolio and enhance Unit holders' interest. Derivative products are specialized instruments that require investment techniques and risk analysis different from those associated with stocks and bonds. The use of a derivative requires an understanding not only of the underlying instrument but of the derivative itself. Other risks include, the risk of mis-pricing or improper valuation and the inability of derivatives to correlate perfectly with underlying assets, rates and indices.

Derivative products are leveraged instruments and can provide disproportionate gains as well as disproportionate losses to the investor. Execution of such strategies depends upon the ability of the fund manager to identify such opportunities. Identification and execution of the strategies to be pursued by the fund manager involve uncertainty and the decision of fund manager may not always be profitable. No assurance can be given that the fund manager will be able to identify or execute such strategies.

The risks associated with the use of derivatives are different from or possibly greater than, the risks associated with investing directly in securities and other traditional investments.

Derivatives require the maintenance of adequate controls to monitor the transactions entered into, the ability to assess the risk that a derivative adds to the portfolio and the ability to forecast price or interest rate movements correctly. There is the possibility that a loss may be sustained by the portfolio as a result of the failure of another party (usually referred to as the "counterparty") to comply with the terms of the derivatives contract. The Scheme bears a risk that it may not be able to correctly forecast future market trends or the value of assets, indices or other financial or economic factors in establishing derivative positions for the Scheme.

Besides the price of the underlying asset, the volatility, tenor and interest rates affect the pricing of derivatives, trading in derivatives carry a high degree of risk although they are traded at a relatively small amount of margin which provides the possibility of great profit or loss in comparison with the principal investment amount.

Other risks in using derivatives include but are not limited to:

- a. **Credit Risk** – This occurs when a counterparty defaults on a transaction before settlement and therefore, the Scheme are compelled to negotiate with another counter party, at the then prevailing (possibly unfavorable) market price, in order to maintain the validity of the hedge. For exchange traded derivatives, the risk is mitigated as the exchange provides a guaranteed settlement but one takes the performance risk on the exchange.
- b. **Liquidity risk** - This risk arises from the inability to sell derivatives at prices that reflect the underlying assets/ rates/ indices, lack of availability of derivative products across different maturities and with various risk appetite.
- c. **Model Risk** – This is the risk of mis–pricing or improper valuation of derivatives.
- d. **Basis Risk** – This risk arises when the derivative instrument used to hedge the underlying asset does not match the movement of the underlying being hedged for example, when a bond is hedged using a derivative, the change in price of the bond and the change in price of the derivative may not be fully correlated leading to basis risk in the portfolio. The underlying benchmark of a floating rate security might become less active or may cease to exist and thus may not be able to capture the exact interest rate movements, leading to loss of value of the portfolio. Example: Where swaps are used to hedge an underlying fixed income security, basis risk could arise when the fixed income yield curve moves differently from that of the swap benchmark curve or if there is a mismatch in the tenor of the swap and the fixed income security. Additional Risk viz. Basis Risk associated with imperfect hedging using Interest Rate Futures (IRF): The imperfect correlation between the prices of securities in the portfolio and the IRF contract used to hedge part of the portfolio leads to basis risk. Thus, the loss on the portfolio may not exactly match the gain from the hedge position entered using the IRF.
- e. **Market Risk:** Derivatives are traded in the market and are exposed to losses due to change in the prices of the underlying and/or other assets and change in market conditions and factors. The volatility in prices of the underlying may impact derivative instruments differently than its underlying.
- f. **Valuation Risk:** This is the risk of mis–pricing or improper valuation of derivatives due to inadequate trading data with good volumes.
- g. **Operational / Systemic Risk:** This is the risk arising due to failure of operational processes followed by the exchanges and Over the Counter (OTC) participants for the derivatives trading.
- h. **Counterparty Risk:** Counterparty risk is the risk that losses will be incurred due to the default by the counterparty for OTC derivatives.
- i. **Exposure Risk:** An exposure to derivatives in excess of the hedging requirements can lead to losses. An exposure to derivatives can also limit the profits from a plain investment transaction.
- j. **Interest Rate Risk:** This risk arises from the movement of interest rates in adverse direction. As with all the debt securities, changes in the interest rates will affect the valuation of the portfolios.

5. Risk factors Associated with Securitised Debt:

The Scheme may invest in domestic securitized debt such as Asset Backed Securities (ABS) or Mortgage Backed Securities (MBS). ABS are securitized debts where the underlying assets are receivables arising from various loans including automobile loans, personal loans, loans against consumer durables, etc. MBS are securitized debts where the underlying assets are receivables arising from loans backed by mortgage of residential / commercial properties.

At present in Indian market, following types of loans are securitized:

1. Auto Loans (cars / commercial vehicles /two wheelers)
2. Residential Mortgages or Housing Loans
3. Consumer Durable Loans
4. Personal Loans
5. Corporate Loans

In terms of specific risks attached to securitization, each asset class would have different underlying risks. Residential Mortgages generally have lower default rates than other asset classes, but repossession becomes difficult. On the other hand, repossession and subsequent recovery of commercial vehicles and other auto assets is fairly easier and better compared to mortgages. Asset classes like personal loans, credit card receivables are unsecured and in an economic downturn may witness higher default. A corporate loan/receivable, depend upon the nature of the underlying security for the loan or the nature of the receivable and the risks correspondingly fluctuate.

The Risks involved in Securitised Papers described below are the principal ones and does not represent that the risks set out hereunder is exhaustive.

Limited Liquidity & Price Risk

There is no assurance that a deep secondary market will develop for the Certificates. This could limit the ability of the investor to resell them.

Limited Recourse, Delinquency and Credit Risk

The Credit Enhancement stipulated represents a limited loss cover to the Investors. These Certificates represent an undivided beneficial interest in the underlying receivables and do not represent an obligation of either the Issuer or the Seller or the originator, or the parent or any associate of the Seller, Issuer and Originator. Delinquencies and credit losses may cause depletion of the amount available under the Credit Enhancement and thereby the Investor Payouts to the Certificate Holders may get affected if the amount available in the Credit Enhancement facility is not enough to cover the shortfall. On persistent default of an Obligor to repay his obligation, the Servicer may repossess and sell the Asset. However, many factors may affect, delay or prevent the repossession of such Asset or the length of time required to realise the sale proceeds on such sales. In addition, the price at which such Asset may be sold may be lower than the amount due from that Obligor.

Risks due to possible prepayments and Charge Offs

In the event of prepayments, investors may be exposed to changes in tenor and yield. Also, any Charge Offs would result in the reduction in the tenor of the Pass-Through Certificates (PTCs).

Re-investment Risk: Since prepayment risk increases when interest rates decline, this also introduces re-investment risk, which is the risk that the principal can only be reinvested at a lower rate.

Bankruptcy of the Swap Bank

If the Swap Bank becomes subject to bankruptcy proceedings then an Investor could experience losses or delays in the payments due under the Interest Rate Swap Agreement.

Risk of Co-mingling

With respect to the Certificates, the Servicer will deposit all payments received from the Obligor into the Collection Account. However, there could be a time gap between collection by a Servicer and depositing the same into the Collection account especially considering that some of the collections may be in the

form of cash. In this interim period, collections from the Loan Agreements may not be segregated from other funds of originator. If originator in its capacity as Servicer fails to remit such funds due to Investors, the Investors may be exposed to a potential loss .

6. Risk factors associated with Segregated Portfolio

Different types of securities in which the scheme would invest carry different levels and types of risk as given in the Scheme Information Document of the scheme. In addition to the same, unitholders are requested to also note the following risks with respect to Segregated Portfolio:

Liquidity Risk: A lower level of liquidity affecting an individual security (ies) or an entire market may have an adverse bearing on the value of the Segregated Scheme's assets. This may more importantly affect the ability to sell particular securities with minimal impact cost as and when necessary to meet requirements of liquidity or to sell securities in response to triggers such as a specific economic/corporate event. Trading volumes, settlement periods and transfer procedures may restrict the liquidity of a few of the investments. This may impact the NAV of the segregated portfolio and could result into potential loss to the Unit holders.

Credit risk: The scheme's risk may increase or decrease depending upon its investment pattern. E.g. corporate bonds carry a higher amount of risk than Government securities. Further even among corporate bonds, bonds, which are AA rated, are comparatively more risky than bonds, which are AAA rated. Investment in unrated securities may be riskier compared to investment in rated instruments due to non-availability of third party assessment on the repayment capability of the issuer. As the securities are unrated, an independent opinion of the rating agency on the repayment capability of the issuer will not be available. The issuer of a debenture/ bond or a money market instrument may default on interest payment or even in paying back the principal amount on maturity. Even where no default occurs, the price of a security may go down because the credit rating of an issuer goes down. This may impact the NAV of the segregated portfolio and resultant loss to the Unit holders.

Listing of units: Listing of units of segregated portfolio in recognized stock exchange does not necessarily guarantee their liquidity. There may not be active trading of units in the stock market. Further, trading price of units on the stock market may be significantly lower than the prevailing NAV.

7. Risk factors associated with processing of transaction through Stock Exchange Mechanism:

The trading mechanism introduced by the stock exchange(s) is configured to accept and process transactions for mutual fund units in both Physical and Demat Form. The allotment and/or redemption of Units through NSE and/or BSE or any other recognised stock exchange(s), on any Business Day will depend upon the modalities of processing viz. collection of application form, order processing/settlement, etc. upon which the Fund has no control. Moreover, transactions conducted through the stock exchange mechanism shall be governed by the operating guidelines and directives issued by respective recognized stock exchange(s).

8. Risks associated with investments in Repo transactions in Corporate Bonds

In repo transactions, also known as a repo or sale repurchase agreement, securities are sold with the seller agreeing to buy them back at later date. The repurchase price should be greater than the original sale price, the difference effectively representing interest. A repo is economically similar to a secured loan, with the buyer receiving corporate debt securities as collateral to protect against default. The Scheme may invest in repo of corporate debt securities which are subject to the following risks:

Counterparty Risk: This refers to the inability of the seller to meet the obligation to buy back securities at the contracted price on the contracted date. The Investment Manager will endeavour to manage counterparty risk by dealing only with counterparties, having strong credit profiles. Also, the counterparty

risk is to an extent mitigated by taking collateral equivalent in value to the transaction after knocking off a minimum haircut on the intrinsic value of the collateral. In the event of default by the repo counterparty, the scheme shall have recourse to corporate debt securities.

Collateral Risk: Collateral risk arises when the market value of the securities is inadequate to meet the repo obligations. This risk is mitigated by restricting participation in repo transactions with collateral bearing a minimum rating as prescribed by the regulators (currently AA or equivalent and above rated money market and corporate debt securities). Any rating downgrade will tantamount to either an early termination of the repo agreement or a call for fresh margin to meet the minimum haircut requirement. In addition, the Investment manager may apply a higher haircut on the underlying security than mentioned above to adjust for the illiquidity and interest rate risk on the underlying instrument. The adequacy of the collateral will be monitored on a daily basis by considering the daily market value & applying the prescribed haircut. In the event of shortfall in the collateral, the counterparty shall be asked to replenish the same. If the counterparty is not able to top-up either in form of cash / collateral, it shall tantamount to early termination of the repo agreement.

Settlement Risk: Corporate Bond Repo shall be settled between two counterparties in the OTC segment unlike in the case of Government securities repo transactions where CCIL stands as central counterparty on all transactions which neutralizes the settlement risk. However, the settlement risk pertaining to CDRs shall be mitigated through Delivery versus Payment (DvP) mechanism which is followed by all clearing members.

9. Risk factors associated with investing in Non- Convertible Preference Shares

Credit Risk - Credit risk is the risk that an issuer will be unable to meet its obligation of payment of dividend and/ or redemption of principal amount on the due date. Further, for non-cumulative preference shares, issuer also has an option to not pay dividends on preference shares in case of inadequate profits in any year.

Liquidity Risk - The preference shares generally have limited secondary market liquidity and thus we may be forced to hold the instrument till maturity.

Unsecured in nature - Preference shares are unsecured in nature and rank lower than secured and unsecured debt in hierarchy of payments in case of liquidation. Thus, there is significant risk of capital erosion in case the company goes into liquidation.

10. Risk associated with investment in Government securities and Triparty repo on Government securities or treasury bills:

-The mutual fund is a member of securities segment and Triparty Repo trade settlement of the Clearing Corporation of India (CCIL). All transactions of the mutual fund in government securities and in Tri-party Repo trades are settled centrally through the infrastructure and settlement systems provided by CCIL; thus, reducing the settlement and counterparty risks considerably for transactions in the said segments. The members are required to contribute an amount as communicated by CCIL from time to time to the default fund maintained by CCIL as a part of the default waterfall (a loss mitigating measure of CCIL in case of default by any member in settling transactions routed through CCIL).

-As per the waterfall mechanism, after the defaulter's margins and the defaulter's contribution to the default fund have been appropriated, CCIL's contribution is used to meet the losses. Post utilization of CCIL's contribution if there is a residual loss, it is appropriated from the default fund contributions of the non-defaulting members. Thus, the scheme is subject to risk of the initial margin and default fund contribution being invoked in the event of failure of any settlement obligations. In addition, the fund contribution is allowed to be used to meet the residual loss in case of default by the other clearing member

(the defaulting member).

-CCIL shall maintain two separate Default Funds in respect of its Securities Segment, one with a view to meet losses arising out of any default by its members from outright and repo trades and the other for meeting losses arising out of any default by its members from Triparty Repo trades. The mutual fund is exposed to the extent of its contribution to the default fund of CCIL, in the event that the contribution of the mutual fund is called upon to absorb settlement/default losses of another member by CCIL, as a result the scheme may lose an amount equivalent to its contribution to the default fund.

- Due to technical issues at CCIL there may be change that the CCIL may delay the payment to its members.

11. General Risk factors:

Trading volumes, settlement periods and transfer procedures may restrict the liquidity of the investments made by the Scheme. Different segments of the Indian financial markets have different settlement periods and such periods may be extended significantly by unforeseen circumstances leading to delays in receipt of proceeds from sale of securities. The NAV of the Units of the Scheme can go up or down because of various factors that affect the capital markets in general.

As the liquidity of the investments made by the Scheme could, at times, be restricted by trading volumes and settlement periods, the time taken by the Mutual Fund for redemption of Units may be significant in the event of an inordinately large number of redemption requests or restructuring of the Scheme. In view of the above, the Trustee has the right, in its sole discretion, to limit redemptions (including suspending redemptions) under certain circumstances, as described under "Right to Limit Redemptions" in Section 'Restrictions, if any, on the right to freely retain or dispose of units being offered'. The Scheme may retain certain investments in cash or cash equivalents for its day-to-day liquidity requirements.

Investment strategy to be adopted by the Scheme may carry the risk of significant variance between the portfolio allocation of the Scheme and the Benchmark particularly over a short to medium term period.

Performance of the Scheme may be affected by political, social, and economic developments, which may include changes in government policies, diplomatic conditions, and taxation policies.

12. Risk Related to Parag Parikh Arbitrage Fund

The primary objective of the Fund Manager is to identify investment opportunities and to exploit price discrepancies in various markets. Identification and exploitation of the strategies to be pursued by the Fund Manager involve uncertainty. No assurance can be given that the Fund Manager will be able to locate investment opportunities or to correctly exploit price discrepancies in the capital markets. Reduction in mis-pricing opportunities between the cash market and Future and Options market may lead to lower level of activity affecting the returns. As the Scheme proposes to execute arbitrage transactions in various markets simultaneously, this may result in high portfolio turnover and, consequently, high transaction cost.

There may be instances, where the price spread between cash and derivative market is insufficient to meet the cost of carry. In such situations, the fund manager due to lack of opportunities in the derivative market may not be able to outperform liquid / money market funds.

Though the constituent stocks of most indices are typically liquid, liquidity differs across stock. Due to heterogeneity in liquidity in the capital market segment, trades on this segment do not get implemented instantly. This often makes arbitrage expensive, risky and difficult to implement.

13. Risk associated with Taxation of the Scheme

Equity oriented mutual fund means a fund which has been set up under a scheme of a Mutual Fund specified under clause (23D) of Income Tax Act, 1961 where more than 65% of the investible funds are

invested in equity shares of domestic companies. The percentage of equity shareholding of the fund shall be computed with reference to the annual average of the monthly averages of the opening and closing figures. In an event where the percentage of annual average of monthly averages of equity shares of domestic companies falls below 65% of the investible funds, then the scheme may be classified as a Non Equity Oriented Fund and it may have additional tax implication on investors.

C. Risk mitigation strategies

The Fund by utilizing a holistic risk management strategy will endeavor to manage risks associated with investing in debt and equity markets. The risk control process involves identifying & measuring the risk through various risk measurement tools.

The Fund has identified following risks of investing in equity and debt and designed risk management strategies, which are embedded in the investment process to manage such risks.

Risk associated with Debt Investment

Risk Description	Risk Mitigants/management strategy
Market Risk As with all debt securities, changes in interest rates may affect the scheme's Net Asset Value as the prices of securities generally increase as interest rates decline and generally decrease as interest rates rise. Prices of long-term securities generally fluctuate more in response to interest rate changes than do short-term securities. Indian debt markets can be volatile leading to the possibility of price movements up or down in fixed income securities and thereby to possible movements in the NAV.	In a rising interest rates scenario, the Fund Manager will endeavor to increase investment in money market securities whereas if the interest rates are expected to fall, the allocation to debt securities with longer maturity will be increased thereby mitigating risk to that extent.
Liquidity or Marketability Risk This refers to the ease with which a security can be sold at or near to its valuation Yield-To-Maturity (YTM). The primary measure of liquidity risk is the spread between the bid price and the offer price quoted by a dealer. Liquidity risk is today characteristic of the Indian fixed income market.	The scheme may invest in government securities, corporate bonds and money market instruments. While the liquidity risk for government securities, money market instruments and short maturity corporate bonds may be low, it may be high in case of medium to long maturity corporate bonds. Liquidity risk is today characteristic of the Indian fixed income market. The fund will however, endeavor to minimise liquidity risk by investing in securities having a liquid market.

Credit Risk Credit risk or default risk refers to the risk that an issuer of a fixed income security may default (i.e., will be unable to make timely principal and interest payments on the security). Because of this risk corporate debentures are sold at a higher yield above those offered on Government Securities which are sovereign obligations and free of credit risk. Normally, the value of a fixed income security will fluctuate depending upon the changes in the perceived level of credit risk as well as any actual event of default. The greater the credit risk, the greater the yield required for someone to be compensated for the increased risk.	A traditional SWOT analysis will be used for identifying company specific risks. Management's past track record will also be studied. In order to assess financial risk, a detailed assessment of the issuer's financial statements will be undertaken to review its ability to undergo stress on cash flows and asset quality. A detailed evaluation of accounting policies, off balance sheet exposures, notes, auditors' comments and disclosure standards will also be made to assess the overall financial risk of the potential borrower. In case of securitized debt instruments, the fund will ensure that these instruments are sufficiently backed by assets.
Reinvestment Risk This risk refers to the interest rate levels at which cash flows received from the securities in the scheme are reinvested. The additional income from reinvestment is the "interest on interest" component. The risk is that the rate at which interim cash flows can be reinvested may be lower than that originally assumed.	Reinvestment risks will be limited to the extent of coupons received on debt instruments, which will be a very small portion of the portfolio value.
Derivatives Risk As and when the scheme trades in the derivatives market, there are risk factors and issues concerning the use of derivatives that Investors should understand. Derivative products are specialized instruments that require investment techniques and risk analyses different from those associated with stocks and bonds. The use of a derivative requires an understanding not only of the underlying instrument but also of the derivative itself. There is the possibility that a loss may be sustained by the portfolio as a result of the failure of another party (usually referred to as the "counter party") to comply with the terms of the derivatives contract. Other risks in using derivatives include the risk of mispricing or improper valuation of derivatives and the inability of derivatives to correlate perfectly with underlying assets, rates and indices.	The fund has provision for using derivative instruments for portfolio balancing and hedging purposes. Interest Rate Swaps will be done with approved counter parties under pre approved ISDA agreements. Mark to Market of swaps, netting off of cash flow and default provision clauses will be provided as per international best practice on a reciprocal basis. Interest rate swaps and other derivative instruments will be used as per local (RBI and SEBI) regulatory guidelines.

Currency Risk The Scheme may invest in Foreign Securities as permitted by the concerned regulatory authorities in India. Since the assets may be invested in securities denominated in foreign currency, the INR equivalent of the net assets, distributions & income may be adversely affected by changes / fluctuations in the value of the foreign currencies relative to the INR.	The scheme subject to applicable regulations shall have the option to enter into forward contracts for the purposes of hedging against the foreign exchange fluctuations. The Schemes may employ various measures (as permitted by SEBI/RBI) including but not restricted to currency hedging (such as currency options and forward currency exchange contracts, currency futures, written call options and purchased put options on currencies and currency swaps), to manage foreign exchange movements arising out of investment in foreign securities.
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Risks associated with Equity investment

Risk Description	Risk Mitigants/management strategy
Market Risk The scheme is vulnerable to movements in the prices of securities invested by the scheme, which could have a material bearing on the overall returns from the scheme. The value of the scheme's investments, may be affected generally by factors affecting securities markets, such as price and volume, volatility in the capital markets, interest rates, currency exchange rates, changes in policies of the Government, taxation laws or any other appropriate authority policies and other political and economic developments which may have an adverse bearing on individual securities, a specific sector or all sectors including equity and debt markets.	Market risk is a risk which is inherent to an equity scheme. The scheme may use derivatives for hedging purpose and diversify the securities investment.
Liquidity risk Liquidity risk is the risk of not being able to sell / liquidate a security at short notice at prevailing market prices or without incurring impact cost. In case of Arbitrage trades, under abnormal circumstances it will be difficult to square off the transaction due to liquidity being poor in the underlying stock, stock futures or options market.	The fund seeks to control such risk by investing in such diversified stocks having strong fundamentals, sound financial strength and superior quality of management and highly liquid securities. The fund will aim at taking exposure only into liquid stocks / derivatives where there will be minimal risk to square off the transaction or we can take or deliver the stock.

Derivatives Risk As and when the scheme trades in the derivatives market there are risk factors and issues concerning the use of derivatives that Investors should understand. Derivative products are specialized instruments that require investment techniques and risk analyses different from those associated with stocks and bonds. The use of a derivative requires an understanding not only of the underlying instrument but also of the derivative itself. The risks in using derivatives include the risk of mis-pricing or improper valuation of derivatives and the inability of derivatives to correlate perfectly with underlying assets, rates and indices.	The fund has provision for using derivative instruments for portfolio balancing and hedging purposes. Investments in derivative instruments will be used as per local (RBI and SEBI) regulatory guidelines. The fund will endeavor to maintain adequate controls to monitor the derivatives transactions entered into.
Currency Risk The Scheme may invest in Foreign Securities as permitted by the concerned regulatory authorities in India. Since the assets may be invested in securities denominated in foreign currency, the INR equivalent of the net assets, distributions and income may be adversely affected by changes / fluctuations in the value of the foreign currencies relative to the INR.	The scheme subject to applicable regulations shall have the option to enter into forward contracts for the purposes of hedging against the foreign exchange fluctuations. The Schemes may employ various measures (as permitted by SEBI/RBI) including but not restricted to currency hedging (such as currency options and forward currency exchange contracts, currency futures, written call options and purchased put options on currencies and currency swaps), to manage foreign exchange movements arising out of investment in foreign securities.

i) Risk profile of securitised debt vis-à-vis risk appetite of the Scheme

Securitized debt is a form of conversion of normally non-tradable loans to transferable securities. This is done by assigning the loans to a special purpose vehicle (a trust), which in turn issues Pass Through Certificates (PTCs). These PTCs are transferable securities with fixed income characteristics. The risk of investing in securitized debt is similar to investing in debt securities. However, it differs in two respects.

- a. Typically, the liquidity of securitized debt is less than similar debt securities.
- b. For certain types of securitized debt (backed by mortgages, personal loans, credit card debt, etc.), there is an additional pre-payment risk. Pre-payment risk refers to the possibility that loans are repaid before they are due, which may reduce returns if the re-investment rates are lower than initially envisaged.

Because of these additional risks, securitized debt typically offers higher yields than debt securities of similar credit rating and maturity. If the fund manager judges that the additional risks are suitably compensated by the higher returns, he may invest in securitized debt up to the limits specified in the asset allocation.

ii) Policy relating to originators based on nature of originator, track record, NPAs, losses in earlier securitised debt, etc.

The originator is an entity (like banks, non-banking finance companies, corporates etc), which has initially provided the loan & is also generally responsible for servicing the loans. The schemes will invest in securitised debt of originators with at least investment grade credit rating and established track record. A detailed evaluation of originator is done before the investment is made in securitised debt of any originator on various parameters given below:

Track record

The investment in securitised debt is done based on origination and underwriting process and capabilities of the originator, overview of corporate structure, group to which they belong, experience of the company in the business, how long they have been in the business, financial condition of the company, credit rating, past performance of similar pools by the originator, etc.

Willingness to pay through credit enhancement facilities etc.

Credit enhancement is provided by the originator, as indicated by rating agencies, so as to adequately cover the defaults and acts as a risk mitigation measure. The size of the credit enhancement as indicated by rating agency depends on the originator's track record, past delinquencies, pattern of the portfolio & characteristics of the pool vis-a-vis of the portfolio, nature of the asset class.

Ability to pay

The quality of the origination impacts the performance of the underlying asset & thus originators with strong systems and processes in place can eliminate poor quality assets. A robust risk management system of the originator and availability of MIS reports on a timely basis, results in creation of a strong asset portfolio.

Business Risk Assessment

The business risk assessment of originator / underlying borrower also includes detailed credit assessment wherein following factors are also considered:

- ★ Outlook for the economy (domestic and global)
- ★ Outlook for the industry
- ★ Company specific factors

Additionally, a detailed review of rating rationale is done along with interactions with the originator as well as the credit rating agency. All investment in securitised debt is done after taking into account points (with regard to originator) stated below:

- ★ Default track record/ frequent alteration of redemption conditions
- ★ High leverage ratios of the ultimate borrower both on a standalone basis as well on a consolidated level/ group level
- ★ Higher proportion of reschedulement of underlying assets of the pool or loan, as the case may be
- ★ Higher proportion of overdue assets of the pool or the underlying loan, as the case may be.

- ★ Poor reputation in market
- ★ Insufficient track record of servicing of the pool or the loan, as the case may be.

iii) **Risk mitigation strategies for investments with each kind of originator**

Investments are based on assessment of following parameters, to mitigate risk associated with such investment:

- a. Credit quality, size and reach of the originator
- b. Nature of receivables/asset category i.e. cars, commercial vehicles, personal loans etc.
- c. Collection process, infrastructure and follow-up mechanism
- d. Quality of MIS
- e. Credit cum liquidity enhancement
- f. Credit appraisal norms of originator
- g. Asset Quality - portfolio delinquency levels
- h. Past performance of rated pools
- i. Pool Characteristics - seasoning, Loan-to-value ratios, geographic diversity etc.

iv) **Minimum retention percentage of the debts by originator of debts prior to securitisation**

While minimum retention percentage by originator is not prescribed, any amount retained by the originator through subordination is viewed positively at the time of making investment & generally varies from 5% to 10%.

v) **The mechanism to tackle conflict of interest when the mutual fund invests in securitised debt of an originator and the originator in turn makes investments in that particular scheme of the fund.**

All proposals for investment in securitised debt are evaluated by the analyst based on several parameters such as nature of underlying asset category, pool characteristics, asset quality, credit rating of the securitisation transaction, and credit cum liquidity enhancement available. Investment in securitised debt by the scheme is made by the fund manager in line with the investment objective of the scheme.

vi) **Minimum retention period of the debt by originator prior to securitization**

Issuance of securitized debt is governed by the Reserve Bank of India. RBI norms cover the "true sale" criteria including credit enhancement and liquidity enhancements. In addition, RBI has proposed minimum holding period before they can be securitized. The minimum holding period depends on the tenor of the securitization transaction. The Fund will invest in securitized debt that are compliant with the laws and regulations.

Note: The information contained herein is based on current market conditions and may change from time to time based on changes in such conditions, regulatory changes and other relevant factors. Accordingly, our investment strategy, risk mitigation measures and other information contained herein may change in response to the same.

Investment in debt instruments shall generally have a low risk profile and those in money market instruments shall have an even lower risk profile. The maturity profile of debt instruments will be selected in accordance with the AMC's view regarding current market conditions, interest rate outlook and the stability of ratings.

vii) **The level of diversification with respect to the underlying assets, and risk mitigation measures**

for less diversified investments.

Diversification of underlying assets is achieved through a) prudent mix of asset categories - i.e. cars (new, used), commercial vehicles, construction equipment, unsecured loans to individuals or small & medium enterprises b) total number of contracts in a pool c) average ticket size of loans and d) geographical distribution.

Risk mitigation measures for less diversified investments in pools is accomplished through the size of credit enhancement, seasoning or loan to value ratios.

Illustrative framework, which will be applied while evaluating investment decision relating to a pool securitisation transaction:

Characteristics / Type of Pool	Mortgage Loan	Commercial Vehicle and Construction Equipment	Car	Two Wheelers	Micro Finance Pools	Personal Loans	Single Sell Downs	Others
Approximate Average Maturity (In Months)	NA	12-60 months	12-60 months	8-40 months	NA	NA	Refer	Refer
Collateral margin (Including cash, guarantees, excess interest spread, Subordinate tranche)	NA	5%-20%	4-15%	4-15%	NA	NA	Note A	Note B
Average Loan to Value Ratio	NA	80-95%	70-90%	70-95%	NA	NA		
Average seasoning of the pool	NA	3- 8 months	3- 8 months	2-5 months	NA	NA		
Maximum single exposure range	NA	3-7%	NA (Retail Pool)	NA (Retail Pool)	NA	NA		

Average single exposure range %	NA	1-5%	0-1%	0-1%	NA	NA		
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Information in the table above is based on current scenario and is subject to change depending upon the change in related factors. Illustrative framework, which will be applied while evaluating investment decision relating to a pool securitization transaction:

NA - Not Applicable

Notes:

A. In case of securitization involving single loans or a small pool of loans, the credit risk of the borrower is analyzed. The investment limits applicable to the underlying borrower are applied to the single loan sell-down.

B. Other investment will be decided on a case to case basis.

In case of asset backed pools (ABS), evaluation of the pool assets is done considering the following factors: (Refer the table above which illustrates the averages of parameters considered while selecting the pool)

- Size of the loan
- Average original maturity of the pool
- Loan to Value Ratio
- Average seasoning of the pool
- Default rate distribution
- Geographical Distribution
- Credit enhancement facility
- Liquid facility
- Structure of the pool

2. Repo of corporate debt securities.

3. When issued security- When, as and if issued' (commonly known as "when-issued" (WI) security) refers to a security that has been authorized for issuance but not yet actually issued. WI trading takes place between the time a new issue is announced and the time it is actually issued. All "when issued" transactions are on an "if" basis, to be settled if and when the actual security is issued.

SEBI has on April 16, 2008 in principle allowed Mutual Funds to undertake 'When Issued (WI)' transactions in Central Government securities, at par with other market participants.

Open Position in the 'WI' market are subject to the following limits:

Category	Reissued Security	Newly Issued Security
Non-PDs	Long Position, not exceeding 5 percent of the notified amount.	Long Position, not exceeding 5 percent of the notified amount.

The Scheme may invest, if and to the extent permissible under the Regulations in derivative instruments.

4. Trading in Derivatives-

Equity Derivatives like Futures and Options as described below:

Futures:

Futures are exchange-traded contracts to sell or buy financial instruments for future delivery at an agreed price. There is an agreement to buy or sell a specified quantity of financial instrument on a designated future date at a price agreed upon by the buyer and seller at the time of entering into a contract. To make trading possible, the exchange specifies certain standardized features of the contract. A futures contract involves an obligation on both the parties to fulfill the terms of the contract.

SEBI has permitted futures contracts on indices and individual stocks with maturity of 1 month, 2 months and 3 months on a rolling basis. The futures contracts are settled on last Thursday (or immediately preceding trading day if Thursday is a trading holiday) of each month. Currently, the futures are settled in cash and in physical for some of the securities, the final settlement price is the closing price of the underlying stock(s)/index.

Options:

Option is a contract which provides the buyer of the option (also called holder) the right, without the obligation, to buy or sell a specified asset at the agreed price on or upto a particular date. For acquiring this privilege, the buyer pays premium (fee) to the seller. The seller on the other hand has the obligation to buy or sell specified asset at the agreed price and for this obligation he receives premium. The premium is determined considering number of factors such as the market price of the underlying asset/security, number of days to expiry, risk free rate of return, strike price of the option and the volatility of the underlying asset. Option contracts are of two types viz:

Call Option - The option that gives the buyer the right but not the obligation to buy specified quantity of the underlying asset at the strike price is a call option. The buyer of the call option (known as the holder of call option) can call upon the seller of the option (writer of the option) and buy from him the underlying asset at the agreed price at any time on or before the expiry of the option.

The seller (writer of the option) on the other hand has the obligation to sell the underlying asset if the buyer of the call option decides to exercise his option to buy.

Put Option – The option that gives the buyer the right but not the obligation to sell is called put option. A Put option gives the holder (buyer) the right to sell specified quantity of the underlying asset at the strike price. The seller of the put option (one who is short Put) however, has the obligation to buy the underlying asset at the strike price if the buyer decides to exercise his option to sell.

There are two kind of options based on the date of exercise of right. The first is the European Option which can be exercised only on the maturity date. The second is the American Option which can be exercised on or before the maturity date.

Debt Derivative instruments like Interest Rate Swaps, Forward Rate Agreements and such other derivative instruments permitted by SEBI/RBI.

Interest Rate Swap - An Interest Rate Swap (“IRS”) is a financial contract between two parties exchanging or swapping a stream of interest payments for a “notional principal” amount on multiple occasions during a specified period. Such contracts generally involve exchange of a “fixed to floating” or “floating to fixed”

rate of interest.

Accordingly, on each payment date that occurs during the swap period, cash payments based on fixed/ floating and floating rates are made by the parties to one another.

Forward Rate Agreement - A Forward Rate Agreement ("FRA") is a financial contract between two parties to exchange interest payments for a notional principal amount on settlement date, for a specified period from start date to maturity date. Accordingly, on the settlement date, cash payments based on contract (fixed) and the settlement rate, are made by the parties to one another. The settlement rate is the agreed benchmark/ reference rate prevailing on the settlement date.

Interest Rate Futures:

A futures contract is a standardized, legally binding agreement to buy or sell a commodity or a financial instrument in a designated future month at a market determined price (the futures price) by the buyer and seller. The contracts are traded on a futures exchange. An Interest Rate Future is a futures contract with an interest-bearing instrument as the underlying asset.

Characteristics of Interest Rate Futures

1. Obligation to buy or sell a bond at a future date.
2. Standardized contract.
3. Exchange traded
4. Physical/Cash settlement.
5. Daily mark to market.

The Scheme(s) may take derivatives position based on the opportunities available subject to the guidelines provided by SEBI from time to time and in line with the overall investment objective of the Scheme(s). The Fund has to comply with the prescribed disclosure requirements. These may be taken to hedge the portfolio, rebalance the same or to undertake any other strategy as permitted under SEBI (MF) Regulations from time to time. Hedging could be perfect or imperfect. Hedging does not mean maximisation of returns but only reduction of systematic or market risk inherent in the investment. The Scheme(s) intends to take position in derivative instruments like Futures, Options, Interest Rate Swaps, Forward Rate Agreements and such other derivative instruments as may be permitted by SEBI from time to time.

Mutual Funds may enter into plain vanilla Interest Rate Swaps (IRS) for hedging purposes. The value of the notional principal in such cases must not exceed the value of respective existing assets being hedged by the scheme.

In case of participation in IRS is through over the counter transactions, the counter party has to be an entity recognized as a market maker by RBI and exposure to a single counterparty in such transactions should not exceed 10% of the net assets of the scheme. However, if mutual funds are transacting in IRS through an electronic trading platform offered by the Clearing Corporation of India Ltd. (CCIL) and CCIL is the central counterparty for such transactions guaranteeing settlement, the single counterparty limit of 10% shall not be applicable.

Exposure limits on Interest Rate Futures (IRF)

The exposure limits for trading in Interest Rate Futures (IRFs) by Mutual Funds specified by SEBI vide its Master Circular for Mutual Funds No. SEBI/HO/IMD/IMD-PoD-1/P/CIR/2024/90 dated June 27, 2024 are as follows:

- i. To reduce interest rate risk in a debt portfolio, mutual funds may hedge the portfolio or part of the portfolio

(including one or more securities) on weighted average modified duration basis by using Interest Rate Futures (IRFs). The maximum extent of short position that may be taken in IRFs to hedge interest rate risk of the portfolio or part of the portfolio, is as per the formula given below:

$$(\text{Portfolio Modified Duration} \times \text{Market Value of the Portfolio}) / (\text{Futures Modified Duration} \times \text{Futures Price/PAR})$$

- ii. In case the IRF used for hedging the interest rate risk has different underlying security(s) than the existing position being hedged, it would result in imperfect hedging.
- iii. Imperfect hedging using IRFs may be considered to be exempted from the gross exposure, upto maximum of 20% of the net assets of the scheme, subject to the following:
 - i. Exposure to IRFs is created only for hedging the interest rate risk based on the weighted average modified duration of the bond portfolio or part of the portfolio.
 - ii. Mutual Funds are permitted to resort to imperfect hedging, without it being considered under the gross exposure limits, if and only if, the correlation between the portfolio or part of the portfolio (excluding the hedged portions, if any) and the IRF is atleast 0.9 at the time of initiation of hedge. In case of any subsequent deviation from the correlation criteria, the same may be rebalanced within 5 working days and if not rebalanced within the timeline, the derivative positions created for hedging shall be considered under the gross exposure computed in terms of SEBI Master circular for Mutual Funds dated June 27, 2024. The correlation should be calculated for a period of last 90 days.

Explanation: If the fund manager intends to do imperfect hedging upto 15% of the portfolio using IRFs on weighted average modified duration basis, either of the following conditions need to be complied with:

- i. The correlation for past 90 days between the portfolio and the IRF is at least 0.9 or
- ii. The correlation for past 90 days between the part of the portfolio (excluding the hedged portions, if any) i.e. at least 15% of the net asset of the scheme (including one or more securities) and the IRF is at least 0.9.
- iii. At no point of time, the net modified duration of part of the portfolio being hedged should be negative.
- iv. The portion of imperfect hedging in excess of 20% of the net assets of the scheme should be considered as creating exposure and shall be included in the computation of gross exposure in terms of SEBI Master circular for Mutual Funds dated June 27, 2024.

5. The Scheme may invest in Non-Convertible Preference Shares (NCPS).

6. Any other like instruments as may be permitted by RBI / SEBI / such other Regulatory Authority from time to time subject to approvals required, if any.

The securities / instruments mentioned above and such other securities the Scheme is permitted to invest in could be listed, unlisted, privately placed, secured, unsecured, rated or unrated and of any maturity.

The securities may be acquired through initial public offering (IPOs), secondary market, private placement, rights offers, negotiated deals. Further investments in debentures, bonds and other fixed income securities will be in instruments which have been assigned investment grade rating by the Credit Rating Agency.

For applicable regulatory investment limits please refer paragraph "Investment Restrictions". Details of various derivative strategies/examples of use of derivatives have been provided under the section "Strategies for Investment in Derivatives".

The Fund Manager reserves the right to invest in such securities as maybe permitted from time to time and which are in line with the investment objectives of the Scheme.

II. Information about the scheme:

A. Where will the scheme invest

The corpus of the Scheme shall be invested in accordance with the investment objective in any (but not exclusively) of the following securities:

Equity and Equity Related Instruments:

Equity related instruments shall mean equities, equity derivatives, cumulative convertible preference shares and fully convertible debentures and bonds of companies. Investment may also be made in partly convertible issues or debentures and bonds including those issued on rights basis subject to the condition that, as far as possible, the non-convertible portion of the debentures so acquired or subscribed, shall be disinvested within a period of 12 (twelve) months. Investments in these securities will be as per the limits specified in the asset allocation table(s) of respective Scheme(s), subject to permissible limits laid under SEBI (MF) Regulations.

Debt Securities & Money Market Instruments:

1. Certificate of Deposits (CD) – CD is a negotiable money market instrument issued by scheduled commercial banks and select all-India Financial Institutions that have been permitted by the RBI to raise short term resources. The maturity period of CDs issued by the Banks is between 7 days to one year, whereas, in case of FIs, maturity is between one year to 3 years from the date of issue. CDs may be issued at a discount to face value.

2. Commercial Paper (CP) - CP is an unsecured negotiable money market instrument issued in the form of a promissory note, generally issued by the corporates, primary dealers and all India Financial Institutions as an alternative source of short term borrowings. They are issued at a discount to the face value as may be determined by the issuer. CP is traded in secondary market and can be freely bought and sold before maturity.

3. Bills Re-discounting (BRD) – BRD is the rediscounting of trade bills which have already been purchased by / discounted with the bank by the customers. These trade bills arise out of supply of goods / services.

4. Securities issued by the Central and State Governments as may be permitted by RBI, securities guaranteed by the Central and State Governments (including but not limited to coupon bearing bonds, zero coupon bonds and treasury bills). Central Government securities are sovereign debt obligations of the Government of India with zero-risk of default and issued on its behalf by RBI. They form part of Government's annual borrowing programme and are used to fund the fiscal deficit along with other short term and long-term requirements. Such securities could be fixed rate, fixed interest rate with put/call option, zero coupon bond, floating rate bonds, capital indexed bonds, fixed interest security with staggered maturity payment etc. State Government securities are issued by the respective State Government in co-ordination with the RBI.

5. Treasury Bills (T-Bills) are issued by the Government of India to meet their short term borrowing requirements. T-Bills are issued for maturities of 91 days, 182 days and 364 days. T-bills are issued at a discount to their face value and redeemed at par.

6. Cash Management Bill - Cash Management Bill (CMB) are issued by the Government of India to meet their short term borrowing requirements. CMB are generally issued for maturities of less than 91 days.

7. Repos/reverse repos in Government Securities as may be permitted by RBI (including but not limited to coupon bearing bonds, zero coupon bonds and treasury bills). Repo (Repurchase Agreement) or Reverse Repo is a transaction in which two parties agree to sell and purchase the same security with an agreement to purchase or sell the same security at a mutually decided future date and price.

8. Debt obligations of domestic Government agencies and statutory bodies, which may or may not carry a Central/State Government guarantee – These are instruments which are issued by various government agencies and bodies. They can be issued at discount, par or premium.

9. Corporate debt and securities (of both public and private sector undertakings) including Bonds, Debentures, Notes, Strips etc. These are instruments issued by corporate entities for their business requirements. They are generally rated by credit rating agencies, higher the rating lower the risk of default.

10. Non-Convertible Debentures and Bonds- Non convertible debentures as well as bonds are securities issued by companies / institutions promoted / owned by the Central or State Governments and statutory bodies which may or may not carry a Central/State Government guarantee, Public and private sector banks, all India Financial Institutions and Private Sector Companies. These instruments may be secured or unsecured against the assets of the Company and generally issued to meet the short term and long term fund requirements.

The Scheme may also invest in the non-convertible part of convertible debt securities.

11. Floating rate Debt instruments- Floating rate debt instruments are instruments issued by Central / state governments, corporates, PSUs, etc. with interest rates that are reset periodically.

12. Money market instruments permitted by SEBI/RBI, having maturities upto 91 days, in Tri Party Repo/Reverse Repo (TREPS) market or in alternative investment for the Tri Party Repo market as may be provided by the RBI to meet the short term liquidity requirements.

13. Investments in units of mutual fund schemes – The Scheme may invest in other schemes managed by the AMC or in the schemes of any other mutual funds, provided it is in conformity with the investment objectives of the Scheme and in terms of the prevailing SEBI (MF) Regulations. As per the SEBI (MF) Regulations, no investment management fees will be charged for such investments and the aggregate inter scheme investment made by all the schemes of PPFAS Mutual Fund or in the schemes of other mutual funds shall not exceed 5% of the net asset value of the PPFAS Mutual Fund.

14. Investment in Short Term Deposits – Pending deployment of funds as per the investment objective of the Scheme, the Funds may be parked in short term deposits of the Scheduled Commercial Banks, subject to guidelines and limits specified by SEBI.

The Scheme shall comply with the following guidelines for parking of funds in short term deposits:

1. "Short Term" for parking of funds shall be treated as a period not exceeding 91 days.
2. Such short-term deposits shall be held in the name of the Scheme.
3. The Scheme shall not park more than 15% of the net assets in short term deposit(s) of all the scheduled commercial banks put together. However, such limit may be raised to 20% with prior approval of the Trustee.
4. Parking of funds in short term deposits of associate and sponsor scheduled commercial banks together shall not exceed 20% of total deployment by the Mutual Fund in short term deposits.
5. The Scheme shall not park more than 10% of the net assets in short term deposit(s), with any one scheduled commercial bank including its subsidiaries.
6. The Scheme shall not park funds in short-term deposit of a bank, which has invested in the Scheme.

The aforesaid limits shall not be applicable to term deposits placed as margins for trading in cash and derivatives market.

As per the SEBI (MF) Regulations, no investment management fees will be charged for such investments

15. Securitised Debt Obligations - Securitization is a structured finance process which involves pooling and repackaging of cash-flow producing financial assets into securities that are then sold to investors. They are termed as Asset Backed Securities (ABS) or Mortgage Backed Securities (MBS). ABS are backed by other assets such as credit card, automobile or consumer loan receivables, retail installment loans or participations in pools of leases. MBS is an asset backed security whose cash flows are backed by the principal and interest payments of a set of mortgage loans. Such Mortgage could be either residential or commercial properties.

16. Pass through, Pay through or other Participation Certificates, representing interest in a pool assets including receivables. It represents beneficial interest in an underlying pool of cash flows. These cash flows represent dues against single or multiple loans originated by the sellers of these loans.

17. Repo of corporate debt securities.

18. When issued security- When, as and if issued' (commonly known as "when-issued" (WI) security) refers to a security that has been authorized for issuance but not yet actually issued. WI trading takes place between the time a new issue is announced and the time it is actually issued. All "when issued" transactions are on an "if" basis, to be settled if and when the actual security is issued.

SEBI has on April 16, 2008 in principle allowed Mutual Funds to undertake 'When Issued (WI)' transactions in Central Government securities, at par with other market participants.

Open Position in the 'WI' market are subject to the following limits:

Category	Reissued Security	Newly Issued Security
Non-PDs	Long Position, not exceeding 5 percent of the notified amount.	Long Position, not exceeding 5 percent of the notified amount.

The Scheme may invest, if and to the extent permissible under the Regulations in derivative instruments

19. Trading in Derivatives-

20. The Scheme may invest in Non-Convertible Preference Shares (NCPS).

21. Any other like instruments as may be permitted by RBI / SEBI / such other Regulatory Authority from time to time subject to approvals required, if any.

The securities / instruments mentioned above and such other securities the Scheme is permitted to invest in could be listed, unlisted, privately placed, secured, unsecured, rated or unrated and of any maturity.

The securities may be acquired through initial public offering (IPOs), secondary market, private placement, rights offers, negotiated deals. Further investments in debentures, bonds and other fixed income securities will be in instruments which have been assigned investment grade rating by the Credit Rating Agency.

For applicable regulatory investment limits please refer paragraph "Investment Restrictions". Details of various derivative strategies/examples of use of derivatives have been provided under the section "Strategies for Investment in Derivatives".

The Fund Manager reserves the right to invest in such securities as may be permitted from time to time

and which are in line with the investment objectives of the Scheme

B.What are the investment restrictions?

Pursuant to Regulations, specifically the Seventh Schedule and amendments thereto, the following investment restrictions are currently applicable to the Scheme:

1.The Scheme shall not invest more than 10% of its NAV in the equity shares or equity related instruments of any entity.

Provided that, the limit of 10% shall not be applicable for investments in case of index fund or sector or industry specific scheme.

All investments by a mutual fund scheme in equity shares and equity related instruments shall only be made provided such securities are listed or to be listed

2.The Mutual Fund under all its Scheme(s) shall not own more than 10% of any company's paid up capital carrying voting rights or ten per cent of units of REITs issued by a single issuer, as the case may be.

Provided, investment in the asset management company or the trustee company of a mutual fund shall be governed by clause (a), of sub-regulation (1), of regulation 7B.

3.The Scheme shall not invest more than 10% of its NAV in debt instruments, issued by a single issuer, comprising money market securities and non-money market securities rated investment grade or above by a credit rating agency authorised to carry out such activity under the Act. This overall investment limit may be extended to 12% of the NAV of the scheme with the prior approval of the Board of Trustees and the Board of AMC.:

Provided that such limit shall not be applicable for investments in Government Securities, treasury bills and Triparty repo.

Provided further that investment within such limit can be made in mortgaged backed securitized debt which are rated not below investment grade by a credit rating agency registered with the SEBI.

Provided further that single issuer investment in debt and money market instruments shall be made based on credit risk of the issuer based on SEBI Master Circular for Mutual Funds dated June 27, 2024. Within the limits specified in the clause 1 of Seventh Schedule of the MF Regulation, following prudential limits shall be followed, for schemes other than Credit risk funds:

A mutual fund scheme shall not invest more than:

- a. 10% of its NAV in debt and money market securities rated AAA; or
- b. 8% of its NAV in debt and money market securities rated AA; or
- c. 6% of its NAV in debt and money market securities rated A and below issued by a single issuer.

The above investment limits may be extended by up to 2% of the NAV of the scheme with prior approval of the Board of Trustees and Board of Directors of the AMC, subject to compliance with the overall 12% limit.

The long term rating of issuers shall be considered for the money market instruments. However, if there is no long term rating available for the same issuer, then based on credit rating mapping of CRAs between short term and long term ratings, the most conservative long term rating shall be taken for a given short term rating. Exposure to government money market instruments such as TREPS on G-Sec/ T-bills shall be treated as exposure to government securities

Debentures, irrespective of any residual maturity period (above or below one year), shall attract the investment restrictions as applicable for debt instruments. It is further clarified that the investment limits are applicable to all debt securities, which are issued by public bodies/institutions such as electricity boards, municipal corporations, state transport corporations etc. guaranteed by either state or central government. Government securities issued by central/state government or on its behalf by the RBI are exempt from the above investment limits.

4. The Scheme may invest in another scheme under the same AMC or any other mutual fund without charging any fees, provided that aggregate inter-scheme investment made by all schemes under the same AMC or in schemes under the management of any other asset management shall not exceed 5% of the net asset value of the Mutual Fund. However, the aforesaid provision will not apply to the fund of funds scheme.

5. The Scheme shall not make any investments in:

- (a) any unlisted security of an associate or group company of the Sponsors; or
- (b) any security issued by way of private placement by an associate or group company of the Sponsors; or
- (c) the listed securities of group companies of the Sponsors which is in excess of 25% of the net assets.

6. The Scheme shall not invest in any Fund of Funds Scheme.

7. Transfer of investments from one scheme to another scheme in the same Mutual Fund, shall be allowed only if:-

- (a) such transfers are made at the prevailing market price for quoted Securities on spot basis (spot basis shall have the same meaning as specified by Stock Exchange for spot transactions). Provided that inter scheme transfer of money market or debt security (irrespective of maturity) shall take place based on prices made available by valuation agencies as prescribed by SEBI from time to time.
- (b) the securities so transferred shall be in conformity with the investment objective of the scheme to which such transfer has been made.
- (c) Inter Scheme Transfers are effected in accordance with the guidelines specified by SEBI circular No. SEBI/HO/IMD/IMD-PoD-1/P/CIR/2024/90 dated June 27, 2024 as amended from time to time.

8. The Mutual Fund shall buy and sell securities on the basis of deliveries and shall in all cases of purchases, take delivery of relevant securities and in all cases of sale, deliver the securities:

- Provided that the Mutual Fund may engage in short selling of securities in accordance with the framework relating to short selling and securities lending and borrowing specified by SEBI.
- Provided further that the Mutual Fund may enter into derivatives transactions in a recognized stock exchange, subject to the framework specified by SEBI.
- Provided further that sale of government security already contracted for purchase shall be permitted in accordance with the guidelines issued by the Reserve Bank of India in this regard.

9. The Fund shall not borrow except to meet temporary liquidity needs of the Fund for the purpose of

repurchase/redemption of Units or payment of interest and/or IDCW to the Unit holders.

Provided that the Fund shall not borrow more than 20% of the net assets of the individual Scheme and the duration of the borrowing shall not exceed a period of 6 months.

10. The Mutual Fund shall enter into transactions relating to Government Securities only in dematerialised form.

11. The Mutual fund shall get the securities purchased / transferred in the name of the fund on account of the concerned scheme, where investments are intended to be of long term nature.

12. Pending deployment of funds of a scheme in terms of investment objectives of the scheme, a mutual fund may invest them in short term deposits of scheduled commercial banks, subject to the guidelines issued by SEBI vide its Master Circular for Mutual Funds no. SEBI/HO/IMD/IMD-PoD-1/P/CIR/2024/90 dated June 27, 2024 as may be amended from time to time. The AMC shall not charge any investment management and advisory fees for parking of funds in such short term deposits of scheduled commercial banks for the scheme.

- i) "Short Term" for parking of funds shall be treated as a period not exceeding 91 days.
 - ii) Such short-term deposits shall be held in the name of the Scheme.
 - iii) The Scheme shall not park more than 15% of their net assets in the short-term deposit(s) of all the scheduled commercial banks put together. However, it may be raised to 20% with the prior approval of the Trustee. Also, parking of funds in short term deposits of associate and sponsor scheduled commercial banks together shall not exceed 20% of total deployment by the Mutual Fund in short term deposits.
 - iv) The Scheme shall not park more than 10% of their net assets in short-term deposit(s) with any one scheduled commercial bank including its subsidiaries.
 - v) The Trustee / AMC shall ensure that the funds of the Scheme are not parked in the short-term deposits of a bank which has invested in the Scheme.
 - vi) AMC will not charge any investment management and advisory fees for parking of funds in short term deposits of scheduled commercial banks.
 - vii) The Trustee / AMC shall also ensure that the bank in which a scheme has short-term deposits do not invest in the scheme until the scheme has short term deposits with such bank.
- The above provisions do not apply to term deposits placed as margins for trading in cash and derivative market.

13. In accordance with the guidelines as stated under SEBI Master Circular for Mutual Funds no. SEBI/HO/IMD/IMD-PoD-1/P/CIR/2024/90 dated June 27, 2024, investments in following instruments as specified in the said circular, as may be amended from time to time, shall be applicable:

The Scheme shall not invest in unlisted debt instruments including commercial papers (CPs), other than (a) government securities, (b) other money market instruments and (c) derivative products such as Interest Rate Swaps (IRS), Interest Rate Futures (IRF), etc. which are used by mutual funds for hedging. However, Mutual fund schemes may invest in unlisted Non-Convertible Debentures (NCDs) not exceeding 10% of the debt portfolio of the scheme subject to the condition that such unlisted NCDs have a simple structure (i.e. with fixed and uniform coupon, fixed maturity period, without any options, fully paid up upfront, without any credit enhancements or structured obligations) and are rated and secured with coupon payment frequency on monthly basis. Provided further that, the Scheme shall comply with the norms under this clause within the time and in the manner as may be specified by the Board.

Further, investment in unrated debt and money market instruments, other than government securities, treasury bills, derivative products such as Interest Rate Swaps (IRS), Interest Rate Futures (IRF), etc. by mutual fund schemes shall be subject to the conditions as specified in the said circular:

Investments should only be made in such instruments, including bills rediscounting, usance bills, etc., that are generally not rated and for which separate investment norms or limits are not provided in SEBI (Mutual Fund) Regulations, 1996 and various circulars issued thereunder.

Exposure of mutual fund schemes in such instruments, shall not exceed 5% of the net assets of the schemes.

14. The Scheme shall invest in Debt instruments having Structured Obligations/ Credit Enhancements in accordance with provisions of SEBI Master Circular for Mutual Funds No. SEBI/HO/IMD/IMD-PoD-1/P/CIR/2024/90 dated June 27, 2024 as may be amended by SEBI from time to time. The same are currently as under:

The investment of the Scheme in the following instruments shall not exceed 10% of the debt portfolio of the Scheme and the group exposure in such instruments shall not exceed 5% of the debt portfolio of the Scheme:

- a. Unsupported rating of debt instruments (i.e. without factoring-in credit enhancements) is below investment grade; and
- b. Supported rating of debt instruments (i.e. after factoring in credit enhancement) is above investment grade.

For this purpose, a group means a group as defined under regulation 2 (mm) of the Regulations and shall include an entity, its subsidiaries, fellow subsidiaries, its holding company and its associates.

However the above Investment limits shall not be applicable on investments in securitized debt instruments, as defined in SEBI (Public Offer and Listing of Securitised Debt Instruments) Regulations 2008. Investment in debt instruments, having credit enhancements backed by equity shares directly or indirectly, shall have a minimum cover of 4 times considering the market value of such shares.

Further, the investment in debt instruments having credit enhancements should be sufficiently covered to address the market volatility and reduce the inefficiencies of invoking of the pledge or cover, whenever required, without impacting the interest of the investors. In case of fall in the value of the cover below the specified limit, AMC's will initiate necessary steps to ensure protection of the interest of the investors.

15. SEBI vide its Master Circular for Mutual Funds no. SEBI/HO/IMD/IMD-PoD-1/P/CIR/2024/90 dated June 27, 2024 has prescribed the following investment restrictions w.r.t investment in derivatives:

- The Scheme shall not write options or purchase instruments with embedded written options except for covered call strategy.
- The total exposure related to option premium paid and received must not exceed 20% of the net assets of the Scheme.
- Cash or cash equivalents with residual maturity of less than 91 days may be treated as not creating any exposure. Cash or cash equivalents for this purpose shall consist of Government Securities, T-Bills and Repo on Government securities.
- Exposure due to hedging positions may not be included in the above mentioned limits subject to the following:

- a. Hedging positions are the derivative positions that reduce possible losses on an existing position in securities and till the existing position remains.
- b. Hedging positions cannot be taken for existing derivative positions. Exposure due to such positions shall have to be added and treated as exposure as per SEBI Master Circular for Mutual Funds point number 12.24.1 dated June 27, 2024
- c. Any derivative instrument used to hedge has the same underlying security as the existing position being hedged.
- d. The quantity of underlying associated with the derivative position taken for hedging purposes does not exceed the quantity of the existing position against which hedge has been taken.

- Exposure due to derivative positions taken for hedging purposes in excess of the underlying position against which the hedging position has been taken, shall be treated as exposure as per SEBI Master Circular for Mutual Funds point number 12.24.1 dated June 27, 2024.
- Each position taken in derivatives shall have an associated exposure as defined under. Exposure is the maximum possible loss that may occur on a position. However, certain derivative positions may theoretically have unlimited possible loss. Exposure in derivative positions shall be computed as follows:

Position	Exposure
Long Future	Futures Price * Lot Size * Number of Contracts
Short Future	Futures Price * Lot Size * Number of Contracts
Option bought	Option Premium Paid * Lot Size * Number of Contracts.

- The Scheme may enter into plain vanilla Interest Rate Swaps (IRS) for hedging purposes. Further, the value of the notional principal in such cases shall not exceed the value of respective existing assets being hedged by the Scheme.
- In case of participation in IRS is through over the counter transactions, the counterparty in such transactions has to be an entity recognized as a market maker by RBI and exposure to a single counterparty in such transactions shall not exceed 10% of the net assets of the Scheme. However, if mutual funds are transacting in IRS through an electronic trading platform offered by the Clearing Corporation of India Ltd (CCIL) and CCIL is the central counterparty for such transactions guaranteeing settlement, the single counterparty limit of 10% shall not be applicable.

16. The scheme will invest in Repos in Corporate debt in accordance with SEBI Master Circular for Mutual Funds no SEBI/HO/IMD/IMD-PoD-1/P/CIR/2024/90 dated June 27, 2024.

Participation of mutual funds in repo in corporate debt securities

The Mutual Funds can participate in repos on following corporate debt securities:

- 1) Listed AA and above rated corporate debt securities
- 2) Commercial Papers (CPs) and Certificate of Deposits (CDs)

The gross exposure of any mutual fund scheme to repo transactions in corporate debt securities shall not be more than 10 % of the net assets of the concerned scheme.

The cumulative gross exposure through repo transactions in corporate debt securities along with equity, debt and derivatives shall not exceed 100% of the net assets of the concerned scheme.

In terms of Regulation 44 (2) of the Securities and Exchange Board of India (Mutual Funds) Regulations, 1996, mutual funds shall borrow through repo transactions only if the tenor of the transaction does not exceed a period of six months.

For the purpose of consideration of credit rating of exposure on repo transactions for various purposes including for Potential Risk Class (PRC) matrix, liquidity ratios, Risk-o-meter etc., the same shall be as that of the underlying securities, i.e., on a look through basis.

For transactions where settlement is guaranteed by a Clearing Corporation, the exposure shall not be considered for the purpose of determination of investment limits for single issuer, group issuer and sector level limits.

17. Save as otherwise expressly provided under the Regulations, the Scheme shall not advance any loans for any purpose.

As per SEBI Master Circular for Mutual Funds no. SEBI/HO/IMD/IMD-PoD-1/P/CIR/2024/90 dated June 27, 2024, the cumulative gross exposure through equity, debt, derivative positions (including commodity and fixed income derivatives), repo transactions and credit default swap in corporate debt securities, Real Estate Investment Trusts (REITs), Infrastructure Investment Trusts (InvITs), other permitted securities/assets and such other securities/ assets as may be permitted by SEBI from time to time shall not exceed 100% of the net assets of the Scheme.

The AMC/Trustee may alter these above stated restrictions from time to time to the extent the SEBI (MF) Regulations change, so as to permit the Scheme to make its investments in the full spectrum of permitted investments for mutual funds to achieve its investment objective. The AMC/Trustee may from time to time alter these restrictions in conformity with the SEBI (MF) Regulations. Further, apart from the investment restrictions prescribed under SEBI (MF) Regulations, the Fund may follow any internal norms vis-à-vis restricting / limiting exposure to a particular scrip or sector, etc. All investment restrictions shall be applicable at the time of making investment.

C. Fundamental Attributes

Following are the Fundamental Attributes of the Scheme, in terms of Regulation 18 (15A) of the SEBI (MF) Regulations:

(i) Type of a scheme

Please refer to Section '**Type of the Scheme**'

(ii) Investment Objective

Main Objective - Please refer to Section '**What is the Investment Objective of the Scheme?**'

Investment pattern - Please refer to section '**How will the Scheme Allocate its Assets?**'

(iii) Terms of Issue

a) Liquidity provisions such as listing, repurchase, redemption. Refer to Page 62.

b) Aggregate Fees and Expenses charged to the Scheme Please refer to section 'Fees and Expenses' for details.

c) Any safety net or guarantee provided: The Scheme does not provide any guaranteed or assured return.

Changes in Fundamental Attributes

In accordance with Regulation 18 (15A) of the SEBI (Mutual Funds) Regulations, the Trustee shall ensure that no change in the fundamental attributes of the Scheme and the Option thereunder or the trust or fee and

expenses payable or any other change which would modify the Scheme and the Option thereunder and affect the interest of Unit holders is carried out unless: -

- A prior approval is taken from Securities and Exchange Board of India before bringing such change(s)
- A written communication about the proposed change is sent to each Unit holder and an advertisement is given in one English daily newspaper having nationwide circulation as well as in a newspaper published in the language of the region where the Head Office of the Mutual Fund is situated; and

The consent or approval of unitholders can also be done through Postal Ballot mechanism i.e. voting by post or through any electronic mode.

- The Unit holders are given an option for a period of 30 days to exit at the prevailing Net Asset Value without any Exit Load.

D. Other Scheme Specific Disclosures:

Listing and transfer of units	Being an open ended Scheme under which units of the Scheme will be offered for subscription and redemption at NAV based prices on all Business Days on an ongoing basis providing the required liquidity to investors, units of the Scheme are not proposed to be listed on any stock exchange. However, the Trustee reserves the right to list the units of the Scheme on any stock exchange(s) at its sole discretion at a later date. Units held in non-demat form / by way of an Account Statement can be transferred. For units held in non - demat form AMC has a system in place for transfer of Units held in Non-Demat (SoA) mode as laid down by AMFI vide its AMFI Best Practices Guidelines Circular No.116 /2024-25 dated August 14, 2024. Currently, the facility is available to individual unitholders falling under the following three categories – (i) Surviving joint unitholder, who wants to add new joint holder(s) in the folio upon demise of one or more joint unitholder(s). (ii) A nominee of a deceased unitholder, who wants to transfer the units to the legal heirs of the deceased unitholder, post the transmission of units in the name of the nominee. (iii) A minor unitholder who has turned a major and has changed his/her status from minor to major, wants to add the name of the parent /guardian, sibling, spouse etc. in the folio as joint holder(s). If a person becomes a holder of the Units consequent to operation of law, or upon enforcement of a pledge, the Fund will, subject to production of satisfactory evidence, effect the transfer, if the transferee is otherwise eligible to hold the Units. Similarly, in cases of transfers taking place consequent to death, insolvency etc., the transferee's name will be recorded by the Fund subject to production of satisfactory evidence. Units held in Demat form are transferable in accordance with the provisions of SEBI (Depositories and Participants) Regulations, as may be amended from time to time. Transfer can be made only in favor of transferees who are eligible of holding units and having a Demat Account. The delivery instructions for transfer of units will have to be lodged with the DP in requisite form as may be required from time to time and transfer will be effected in accordance with such rules / regulations as may be in force governing transfer of securities in dematerialized mode. Pursuant to AMFI Best Practice Guidelines Circular No.135/BP/119/2024-25 dated May 08, 2025, the above procedure has been extended to all investors under Resident/ Non-Resident Individual categories for the reasons like (i) Transfer to siblings(ii)Gifting of
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	Units (iii) Transfer of units to third party (iv) Addition/deletion of unitholder. This facility shall be available only through online mode via the transaction portals of our Registrar and Transfer Agent (i.e. CAMS) and the MF Central (as and when enabled), i.e., the transfer of units held in SoA mode shall not be allowed through physical/ paper-based mode or via the stock exchange platforms, MFU, channel partners and EOPs etc. The Stamp duty for transfer of units, if/where applicable, shall be payable by the transferor. Unitholders can refer https://digital.camsonline.com/transfer for more details and can follow the process available on website of our CAMS if intends to transfer of their units in aforesaid scenarios.
Dematerialization of units	The Unit holders would have an option to hold the Units in electronic (dematerialized) form or account statement/ physical (non-demat) form. Units held in Demat Form are freely transferable. The Applicant intending to hold Units in dematerialized form will be required to have a beneficiary account with a Depository Participant (DP) of the NSDL/CDSL and will be required to mention in the application form DP's Name, DP ID No. and Beneficiary Account No. with the DP at the time of purchasing Units. Unit-holders are requested to note that requests for conversion of units held in Account Statement (non-demat) form into Demat (electronic) form should be submitted to their Depository Participants.
Income Distribution cum capital withdrawal (IDCW) Policy	Under the Income Distribution cum capital withdrawal option, the Trustee will have discretion to declare the IDCW, subject to availability of distributable surplus and partly out of investor's capital calculated in accordance with the Regulations. The actual declaration of IDCW and frequency will inter-alia, depend on availability of distributable surplus calculated in accordance with SEBI (MF) Regulations and the decisions of the Trustee shall be final in this regard. The amounts can be distributed out of investors capital (Equalization Reserve), which is part of sale price that represents realized gains. There is no assurance or guarantee to the Unitholder as to the rate of IDCW nor that will the IDCW be paid regularly. The AMC/Trustee reserves the right to change the frequency of declaration of IDCW or may provide additional frequency for Declaration of IDCW. The AMC, in consultation with the Trustee reserves the right to discontinue/ add more options / facilities at a later date subject to complying with the prevailing SEBI guidelines and Regulation. IDCW Distribution Procedure: In accordance with SEBI Master circular for Mutual Funds no. SEBI/HO/IMD/IMD-PoD-1/P/CIR/2024/90 dated June 27, 2024, the procedure for IDCW distribution would be as under: 1. Quantum of IDCW and the record date will be fixed by the Trustee. IDCW so decided shall be paid, subject to availability of distributable surplus. 2. Within one calendar day of decision by the Trustees, the AMC shall issue notice to the public communicating the decision including the record date. The record date shall be 2 Working days from the date of publication in atleast one English newspaper or in a newspaper published in the language of the region where the Head Office of the Mutual Fund is situated, whichever is issued earlier. 3. Record date shall be the date, which will be considered for the purpose of determining the eligibility of Unitholders whose names appear on the register of Unitholder for receiving IDCW. The Record Date will be 2 Working days from the date of issue of public notice.

	4.The notice will, in font size 10, bold, categorically state that pursuant to payment of IDCW, the NAV of the Scheme would fall to the extent of payout and statutory levy (if applicable). 5.The NAV will be adjusted to the extent of IDCW distribution and statutory levy, if any, at the close of Business Hours on record date. 6.Before the issue of such notice, no communication indicating the probable date of IDCW declaration in any manner whatsoever will be issued by Mutual Fund. The requirement of giving public notice shall not be applicable for IDCW options having frequency ranging from daily up to monthly distribution.
Allotment (Detailed procedure)	Investors may apply for Units by filling up an Application Form. All valid and complete applications will be allotted Units at the Applicable NAV for the application amount. Allotment of units shall be made within 5 business days from the closure of the NFO and the Scheme shall be available for ongoing repurchase/sale/trading within 5 business days of the allotment. Allotment of Units shall be subject to: (i) the achievement of the minimum target amount; (ii) receipt of complete Application Forms that are in order; (iii) realisation of the specified minimum Subscription amount from the Investor, and (iv) provisions set out in the section on 'Refund/Rejection of the application' given below. Account Statements An account statement will be sent by ordinary post/courier/electronic mail to each Unit Holder within 5 business days from the closure of the NFO, stating the number of Units purchased. In case the investor provides the e-mail address, the Fund will provide the Account Statement only through e-mail message. Should the unit holder experience any difficulty in accessing the electronically delivered documents, the unit holders shall promptly advise the Mutual Fund to enable the Mutual Fund to make the delivery through alternate means. It is deemed that the unit holder is aware of all security risks including possible third-party interception of the documents and contents of the documents becoming known to third parties. Normally, no unit certificates will be issued. However, if an applicant so desires, the AMC shall issue the unit certificates to the applicant within 5 business days of the receipt of request for the certificate. Consolidated Account Statements In accordance with SEBI Master circular for Mutual Funds no SEBI/HO/IMD/IMD-PoD-1/P/CIR/2024/90 dated June 27, 2024 a consolidated account statement for each calendar month is issued to the investors in whose folios transactions has taken place during that month. Further, as per SEBI circular no. SEBI/HO/MRD-PoD2/CIR/P/2024/93 dated July 1, 2024, email has been recognised as default mode for dispatch for Consolidated Account Statement (CAS) by Mutual Funds. In cases where there are no transactions in demat accounts, the Consolidated Account

	Statement (CAS), including holding details, shall be sent to investors via email on a half-yearly basis.
Refund	If application is rejected, full amount will be refunded within 5 working days of closure of NFO. If refunded later than 5 working days 15% p.a. for delay period will be paid and charged to the AMC.
Who can invest This is an indicative list and investors shall consult their financial advisor to ascertain whether the scheme is suitable to their risk profile.	This is an indicative list and you are requested to consult your financial advisor to ascertain whether the Scheme is suitable to your risk profile. The following persons are eligible to apply for subscription to the units of the Scheme (subject to, wherever relevant, subscription to units of the Scheme being permitted under the respective constitutions and relevant statutory regulations): 1. Indian resident adult individuals either singly or jointly (not exceeding three) or on an Anyone or Survivor basis; 2. Hindu Undivided Family (HUF) through Karta of the HUF; 3. Minor (as the first and the sole holder only) through a natural guardian (i.e. father or mother, as the case may be) or a court appointed legal guardian. There shall not be any joint holding with minor investments. Payment for investment by any mode shall be accepted from the bank account of the minor, parent or legal guardian of the minor, or from a joint account of the minor with parent or legal guardian. 4. Partnership Firms and Limited Liability Partnerships (LLPs); 5. Proprietorship in the name of the sole proprietor; 6. Companies, Bodies Corporate, Public Sector Undertakings (PSUs), Association of Persons (AOP) or Bodies of Individuals (BOI) and societies registered under the Societies Registration Act, 1860; 7. Banks (including Co-operative Banks and Regional Rural Banks) and Financial Institutions; 8. Mutual Funds registered with SEBI; 9. Religious and Charitable Trusts, Wakfs or endowments of private trusts (subject to receipt of necessary approvals as required) and private trusts authorised to invest in mutual fund schemes under their trust deeds; 10. Non-Resident Indians (NRIs) / Persons of Indian origin (PIOs) residing abroad on repatriation basis or on non-repatriation basis; subject to compliance with all applicable laws and regulations prior to investing in the Scheme. 11. Foreign Institutional Investors (FIIs) and their sub-accounts registered with SEBI on repatriation basis; 12. Army, Air Force, Navy and other para-military units and bodies created by such institutions; 13. Council of Scientific and Industrial Research, India; 14. Multilateral Funding Agencies / Bodies Corporate incorporated outside India with the permission of Government of India / RBI; 15. Provident Funds, Pension Funds, Gratuity Funds and Superannuation Funds to the extent they are permitted 16. Other schemes of PPFAS Mutual Fund (as and when PPFAS Mutual Fund introduces additional scheme/s) subject to the conditions and limits prescribed by SEBI (Mutual Funds) Regulations; 17. Trustee, AMC or Sponsor or their associates may subscribe to units under the Scheme; 18. Qualified Foreign Investor (QFI) 19. Foreign Portfolio Investors (FPI) registered with SEBI on repatriation basis; subject to compliance with all applicable laws and regulations and the terms, conditions, and documentation requirements stipulated by the AMC from time to time, prior to investing in the Scheme. 20. Such other individuals /institutions/ body corporates etc., as may be decided by the AMC from time to time, so long as, wherever applicable, subject to their respective constitutions and relevant statutory regulations.

	The list given above is indicative and the applicable laws, if any, as amended from time to time shall supersede the list. Note: 1. Non-Resident Indians (NRIs) and Persons of Indian Origin (PIOs) residing abroad / Foreign Institutional Investors (FIIs) have been granted a general permission by Reserve Bank of India under Schedule 5 of the Foreign Exchange Management (Transfer or Issue of Security by a Person Resident Outside India) Regulations, 2000 for investing in / redeeming units of the mutual funds subject to conditions set out in the aforesaid regulations. 2. It is expressly understood that at the time of investment, the investor/ unitholder has the express authority to invest in units of the Scheme and the AMC / Trustee / Mutual Fund will not be responsible if such investment ultravires the relevant constitution. Subject to the Regulations, the Trustee may reject any application received in case the application is found invalid/ incomplete or for any other reason in the Trustee's sole discretion. 3. For subscription in the Scheme, it is mandatory for investors to make certain disclosures like bank details etc. and provide certain documents like PAN copy etc. (for details please refer SAI) without which the application is liable to be rejected. PAN and Aadhar linking to be successful for applicable investor's and Name and DOB on the application to be as per PAN/CBDT. 4. Subject to the SEBI (MF) Regulations, any application for units of this Scheme may be accepted or rejected in the sole and absolute discretion of the Trustee/AMC. The Trustee/AMC may inter-alia reject any application for the purchase of units if the application is invalid or incomplete or if the Trustee for any other reason does not believe that it would be in the best interest of the Scheme or its unitholders to accept such an application. 5. The AMC / Trustees may request Investors / Unit holders to provide other further details as may be required in the opinion of the AMC / Trustees under applicable Laws. This may result in a delay in dealing with the applicants, Unit holders, benefits distribution, etc. 6. In case of application(s) made by individual investors under a Power of Attorney, the original Power of Attorney or a duly notarized copy should be submitted along with the subscription application form. In case of applications made by non-individual investors, the authorized signatories of such non-individual investors should sign the application form in terms of the authority granted to them under the Constitutional Documents/ Board resolutions/Power of Attorneys, etc. A list of specimen signatures of the authorized signatories, duly certified / attested should also be attached to the Application Form. The Mutual Fund/AMC/Trustee shall deem that the investments made by such non-individual investors are not prohibited by any law/Constitutional documents governing them and they possess the necessary authority to invest. 7. Investors desiring to invest / transact in mutual fund schemes are required to comply with the KYC norms applicable from time to time. Under the KYC norms, Investors are required to provide prescribed documents for establishing their identity and address such as copy of the Memorandum and Articles of Association / bye-laws/trust deed/ partnership deed/Certificate of Registration along with the proof of authorization to invest, as applicable, to the KYC Registration Agency (KRA) registered with SEBI. 8. Further, all other requirement for investments by minor and process of transmission shall be followed in line with SEBI Master Circular for Mutual Funds dated June 27, 2024 read with SEBI Circulars issued in this regard as amended from time to time. 9. The Mutual Fund/ AMC/ Trustee/ other intermediaries will rely on the declarations/ affirmations provided by the Investor(s) in the Application/Transaction Form(s) and the documents furnished to the KRA. Further, the Investor shall be liable to indemnify the Fund/ AMC/ Trustee/ other intermediaries in case of any dispute regarding the eligibility, validity and authorization of the transactions and/ or the applicant who has applied on behalf of the Investor. The Mutual Fund/ AMC/ Trustee reserves the right to call for such
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	other information and documents as may be required by it in connection with the investments made by the investors. 10. The Trustee reserves the right to recover from an investor any loss caused to the Scheme on account of dishonour of cheques issued by the investor for purchase of Units of the Scheme.
Who cannot invest	The following persons are not eligible to invest in the Scheme: Pursuant to RBI A.P. (DIR Series) Circular No. 14 dated September 16, 2003, Overseas Corporate Bodies (OCBs) cannot invest in Mutual Funds. Any prospective investor/s residing in Non-Compliant Countries and Territories (NCCTs) as determined by the Financial Action Task Force (FATF), from time to time. Such other persons as may be specified by AMC from time to time or as may be required by the applicable rules and regulations.
How to Apply (and other details)	Please refer to the SAI and Application form for the instructions. 1. Availability of application form from either the Investor Service Centers (ISCs)/Official Points of Acceptance (OPAs) of AMC or may be downloaded from the website of AMC https://amc.ppfas.com/downloads/index.php and https://amc.ppfas.com/investor-desk/investor-service-centres/index.php 2. Link for the list of official points of acceptance, collecting banker details etc. https://amc.ppfas.com/contact/official-points-of-acceptance-opa/ https://www.camsonline.com/Investors/Support/CAMS-Location&Service-center 3. Name, address and contact no. of Registrar and Transfer Agent (R&T), email id of R&T, website address of R&T, official points of acceptance, collecting banker details etc. on back cover page. Investors may obtain Key Information Memorandum (KIM) along with the application forms from the AMC offices or Point of Acceptance of the Registrar or may be downloaded from http://amc.ppfas.com (AMC's website). Please refer to the SAI and Application Form for the instructions. For further details, please refer to paragraph - 'Restriction On Acceptance of Third Party Payment Instruments for Subscription of Units' under the section - How to Apply in SAI. Bank Details: In order to protect the interest of Unit holders from fraudulent encashment of redemption / IDCW cheques, SEBI has made it mandatory for investors to provide their bank details viz. name of bank, branch, address, account type and number, etc. to the Mutual Fund. Applications without complete bank details shall be rejected. The AMC will not be responsible for any loss arising out of fraudulent encashment of cheques / warrants and / or any delay / loss in transit.
The policy regarding reissue of repurchased units, including the maximum extent, the manner of reissue, the entity	Units once redeemed will not be reissued.

(the scheme or the AMC) involved in the same.	
Restrictions, if any, on the right to freely retain or dispose of units being offered.	RIGHT TO RESTRICT REDEMPTION AND / OR SUSPEND REDEMPTION OF THE UNITS (as per clause 1.12 of Master Circular): The Fund at its sole discretion reserves the right to restrict Redemption (including switch-out) of the Units (including Plan /Option) of the Scheme of the Fund upon occurrence of the below mentioned events for a period not exceeding ten (10) working days in any ninety (90) days period subject to approval of the Board of Directors of the AMC and the Trustee. The restriction on Redemption (including switch-out) shall be applicable where the Redemption (including switch-out) request is for a value above Rs. 2,00,000/- (Rupees Two Lakhs). Further, no restriction shall be applicable to the Redemption / switch-out request upto Rs. 2,00,000/- (Rupees Two Lakhs). It is further clarified that, in case of redemption request beyond Rs. 2,00,000/- (Rupees Two Lakhs), no restriction shall be applicable on first Rs. 2,00,000/- (Rupees Two Lakhs). The Trustee / AMC reserves the right to restrict Redemption or suspend Redemption of the Units in the Scheme of the Fund on account of circumstances leading to a systemic crisis or event(s) that severely constrict market liquidity or the efficient functioning of the markets. A list of such circumstances under which the restriction on Redemption or suspension of Redemption of the Units in the Scheme of the Fund may be imposed are as follows: 1. Liquidity issues- when market at large becomes illiquid affecting almost all securities rather than any issuer specific security; or 2. Market failures / Exchange closures; or 3. Operational issues; or 4. If so directed by SEBI. It is clarified that since the occurrence of the abovementioned eventualities have the ability to impact the overall market and liquidity situation, the same may result in exceptionally large number of Redemption requests being made and in such a situation the indicative timelines, if any mentioned by the Fund in the scheme offering documents, for processing of requests for Redemption may not be applicable. Any restriction on Redemption or suspension of Redemption of the Units in the Scheme(s) of the Mutual Fund shall be made applicable only after specific approval of the Board of Directors of the AMC and Trustee Company and thereafter, immediately informing the same to SEBI. The AMC / Trustee reserves the right to change / modify the provisions of right to restrict Redemption and / or suspend Redemption of the Units in the Scheme of the Fund.
Cut off timing for subscriptions/ redemptions/ switches This is the time before which your application (complete in all respects) should	Subscriptions/Purchases including Switch – ins for any amount. In respect of valid applications received for any amount upto 3.00 p.m. (cut off time) on a Business Day at the Official Point(s) of Acceptance and where the funds for the entire amount of subscription / purchase as per the application / switch-in request, are credited to the bank account of the Scheme before the cut-off time i.e. available for utilization before the cut-off time - the closing NAV of the day on which valid application is received shall be applicable. In respect of valid applications received for any amount after 3.00 p.m. on a Business

reach the official points of acceptance.	Day at the Official Point(s) of Acceptance and where the funds for the entire amount of subscription / purchase as per the application / switch-in request, are credited to the bank account of the Scheme before the cut-off time of the next Business Day i.e. available for utilization before the cut-off time of the next Business Day - the closing NAV of the next Business Day shall be applicable. Irrespective of the time of receipt of application, where the funds for the entire amount are credited to the bank account of the Scheme before the cut-off time on any subsequent Business Day i.e. available for utilization before the cut-off time on any subsequent Business Day - the closing NAV of such subsequent Business Day shall be applicable. For Switch-ins of any amount: For determining the applicable NAV, the following shall be ensured: Application for switch-in is received before the applicable cut-off time. Funds for the entire amount of subscription/purchase as per the switch in request are credited to the bank account of the Scheme before the cut-off time. The funds are available for utilization before the cut-off time. In case of 'switch' transactions from one scheme to another, the allocation shall be in line with redemption payouts. In case of switches, the request should be received on a day which is a Business Day for the Switch-out scheme. Redemption for switch-out shall be processed at the applicable NAV as per cut-off timing. Switchin will be processed at the Applicable NAV (on a Business Day) based on realization of funds as per the redemption pay-out cycle for the switch-out scheme. For investments through systematic investment routes such as Systematic Investment Plans (SIP), Systematic Transfer Plans (STP), etc. the units will be allotted as per the closing NAV of the day on which the funds are available for utilization within applicable cut-off time by the Target Scheme irrespective of the installment date of the SIP, STP or record date of IDCW etc. While the AMC will endeavour to deposit the payment instruments accompanying investment application submitted to it with its bank expeditiously, it shall not be liable for delay in realization of funds on account of factors beyond its control such as clearing / settlement cycles of the banks. Since different payment modes have different settlement cycles including electronic transactions (as per arrangements with Payment Aggregators / Banks / Exchanges etc), it may happen that the investor's account is debited, but the money is not credited within cut-off time on the same date to the Scheme's bank account, leading to a gap / delay in Unit allotment. Investors are therefore urged to use the most efficient electronic payment modes to avoid delays in realization of funds and consequently in Unit allotment. Redemptions including switch-out: The following cut-off timings shall be observed by the Mutual Fund in respect of Repurchase of Units: 1. Where the valid application is received up to 3.00 p.m. on a business day by the Mutual Fund- the closing NAV of the day on which application is received shall be applicable and 2. Where the valid application is received after 3.00 p.m. on a business day by the Mutual
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	Fund- the closing NAV of the next business day shall be applicable. The above mentioned cut off timing shall be applicable to transactions through the online trading platform. The Date of Acceptance will be reckoned as per the date & time; the transaction is entered in stock exchanges infrastructure for which a system generated confirmation slip will be issued to the unitholder. Investors shall make sure that after deducting bank charges for outstation cheque amount available for investment shall not be less than amount specified for minimum investment. Transactions through online facilities / electronic modes: The time of transaction done through various online facilities / electronic modes offered by the AMC, for the purpose of determining the applicability of NAV, would be the time when the request for purchase / sale / switch of units is received in the servers of AMC/RTA. In case of transactions through online facilities / electronic modes, there may be a time lag of upto 5-7 banking days between the amount of subscription being debited to the investor's bank account and the subsequent credit into the respective Scheme's bank account. This lag may impact the applicability of NAV for transactions where NAV is to be applied, based on actual realization of funds by the Scheme. Under no circumstances will PPFAS Asset Management Private Limited or its bankers or its service providers be liable for any lag / delay in realization of funds and consequent pricing of units. The AMC has the right to amend cut off timings subject to SEBI (MF) Regulations for the smooth and efficient functioning of the Scheme.
Minimum amount for purchase/ redemption/switches	Minimum amount for new purchase is Rs. 1,000/- and in multiples of Re. 1 thereafter. Minimum additional amount for purchase is Rs. 1,000/- and in multiples of Re.1 thereafter. Minimum amount for redemption/ switch is Rs. 1,000/- and in multiples of Re. 1 thereafter. In case the investor specifies the number of units and amount to be redeemed, the number of units shall be considered for redemption. In case the unitholder does not specify the number of units or amount to be redeemed, the redemption request will not be processed. The AMC reserves the right to change the minimum amounts for various purchase/ redemption/ switches. Such changes shall only be applicable to transactions on a prospective basis. <u>Non-applicability of Minimum Application Amount (Lump-sum) and Minimum Redemption amount to Alignment of interest of Designated Employees of AMC:</u> SEBI vide its Master Circular for Mutual Funds no. SEBI/HO/IMD/IMD-PoD-1/P/CIR/2024/90 dated June 27, 2024 and SEBI circular no. SEBI/HO/IMD/IMD-PoD-1/P/CIR/2025/36 dated March 21, 2025 on Alignment of interest of Designated Employees of Asset Management Companies (AMCs) with the Unitholders of the Mutual Fund Schemes has, inter alia mandated that a minimum percentage of Gross Annual CTC net of income tax and any statutory contributions of the Designated Employees of the AMCs shall be invested in units of the scheme(s) of the Fund in which they have a role/oversight. The percentage to be invested shall be based on the slabs as mentioned in the SEBI Circular dated March 21, 2025. The said guidelines came into effect from the April 01, 2025. In accordance with the regulatory requirement, the minimum application amount and minimum redemption amount wherever specified in the concerned SID / KIM will not be applicable for investment made in schemes of the Fund in compliance with the aforesaid

	circular(s).
Account Statements	The AMC shall send an allotment confirmation specifying the units allotted by way of email and/or SMS within 5 working days of receipt of valid application/transaction to the Unit holders registered e-mail address and/ or mobile number (whether units are held in demat mode or in account statement form). A Consolidated Account Statement (CAS) detailing all the transactions across all mutual funds and holding at the end of the month shall be sent to the Unit holders in whose folio(s) transaction(s) have taken place during the month. Investor those who have opted for delivery via electronic mode, e-CAS will be sent by the twelfth (12th) day from the month end and to investors who have opted for delivery via physical mode, physical CAS will be despatched by the fifteenth (15th) day from the month end. If there is any transaction in any of the demat accounts of the investor or in any of his mutual fund folios, then CAS will be sent to that investor through email on monthly basis. In case there is no transaction in any of the mutual fund and demat accounts then CAS with holding details will be sent to the investors by email on half yearly basis. In respect of half-yearly CAS, the AMCs/MF-RTAs shall provide the data with respect to the common PANs to the depositories on or before eighth(8th) day of April and October every year. The depositories shall then consolidate and dispatch the CAS to investors that have opted for delivery via electronic mode, on or before the eighteenth (18th) day of April and October and to investors that have opted for delivery via physical mode, on or before the twenty-first (21st) day of April and October. However, where an investor does not wish to receive CAS through email, option will be given to the investor to receive the CAS in physical form at the address registered with the Depositories and the AMCs/MF-RTAs. For further details, refer SAI.
IDCW	1. The IDCW proceeds will mandatorily be paid directly into the Unitholder's bank account through various electronic payout modes such as Direct credit/ NEFT/RTGS/IMPS/ECS/NECS etc, as directed by SEBI. Please note that physical despatch of IDCW payment instruments shall be made by the AMC only in exceptional circumstances. 2. The IDCW proceeds will be paid in favour of the Unit holder (registered holder of the Units or, if there is more than one registered holder, only to the first registered holder) with bank account number furnished to the Mutual Fund (please note that it is mandatory for the Unit holders to provide/update the Bank account details IFSC code etc. as per the directives of SEBI). 3. The IDCW payment shall be transferred to the Unitholders within 7 working days of the record date of such declaration of IDCW as may be specified by SEBI/AMFI from time to time. In the event of failure to transfer IDCW within the stipulated period, the AMC shall be liable to pay interest @ 15% per annum to the Unitholders for the delay in payment as computed from the Record Date or from such other date or for such period as may be advised by SEBI from time to time. 4. For units held in demat form: The IDCW proceeds will be credited to the bank account of the Unitholder, as per the bank account details recorded with the Depository Participant based on the list provided by the Depositories (NSDL/CDSL) giving the details of the demat account holders and the number of Units held by them in demat form on the Record date.

Redemption	The redemption or repurchase proceeds shall be dispatched to the unitholders within three working days from the date of redemption or repurchase and in case of exceptional circumstances, it shall be made within 5 working days. In order to protect the interest of Unit holders from fraudulent encashment of redemption / IDCW cheques, SEBI has made it mandatory for investors to provide their bank details viz. name of bank, branch, address, account type and number, etc. to the Mutual Fund. Applications without complete bank details shall be rejected. The AMC will not be responsible for any loss arising out of fraudulent encashment of cheques / warrants and / or any delay / loss in transit. For list of exceptional circumstances, refer para 14.1.3 of SEBI Master Circular for Mutual Funds dated June 27, 2024.
Bank Mandate	Registration of Multiple Bank Accounts in respect of an Investor Folio An Investor can register with the Fund upto 5 bank accounts in case of individuals and HUFs and upto 10 in other cases. Registering of Multiple Bank Accounts will enable the Fund to systematically validate the pay-in of funds and avoid acceptance of third party payments. For the purpose of registration of bank account(s), Investor should submit Bank Mandate Registration Form (available at the AMC Website, office of AMC and Official point of Acceptance) together with any of the following documents: Cancelled original cheque leaf in respect of bank account to be registered where the account number and names of the account holders are printed on the face of the cheque; or Bank statement or copy of Bank Pass Book page with the Investor's Bank Account number, name and address. The above documents will also be required for change in bank account mandate submitted by the Investor. The AMC will register the Bank Account only after verifying that the sole/ first joint holder is the holder / one of the joint holders of the bank account. In case if a copy of the above documents is submitted, Investor shall submit the original to the AMC/ Investor Service Centre for verification and the same shall be returned. In case of Multiple Registered Bank Account, Investor may choose one of the registered bank accounts for the credit of redemption/IDCW proceeds (being - Pay-out bank account). Investors may however, specify any other registered bank accounts for credit of redemption proceeds at the time of requesting for the redemption. Investors may change such Pay-out Bank accounts, as necessary, through written instructions. However, if a request for redemption is received together with a change of bank account (unregistered new bank account) or before verification and validation of a new bank account, the redemption request would be processed to the currently registered default old bank account. Bank account which is stated first shall be treated as default bank account. For further details please refer to paragraph on Registration of Multiple Bank Accounts in respect of an Investor Folio in the SAI.

	The AMC reserves the right to alter/ discontinue all / any of the above-mentioned special product(s)/ facility(ies) at any point of time. Further, the AMC reserves the right to introduce more special product(s) / facility(ties) at a later date subject to prevailing SEBI Guidelines and Regulations. Email ID for communication First / Sole Holders should register their own email address and mobile number in their folio for speed and ease of communication in a convenient and cost-effective manner, and to help prevent fraudulent transactions.
Delay in payment of redemption / repurchase proceeds/IDCW	Under normal circumstances, the redemption or repurchase proceeds shall be released to the unitholders within 3 working days from the date of redemption or repurchase and in case of exceptional situation it shall be within 5 working days For IDCW, under normal circumstances, the IDCW proceeds shall be released to unitholders within 7 working days from the record date as per SEBI and/or AMFI Guidelines. The AMC shall be liable to pay interest to the unitholders at such rate as may be specified by SEBI for the period of such delay (presently @ 15% per annum). However, the AMC will not be liable to pay any interest or compensation or any amount otherwise, in case the AMC / Trustee is required to obtain from the investor / unitholders, verification of identity or such other details relating to subscription for units under any applicable law or as may be requested by a regulatory body or any government authority, which may result in delay in processing the application. The interest for the delayed payment of IDCW shall be calculated from the record date.
Unclaimed Redemption and Income Distribution cum Capital Withdrawal Amount	As per the SEBI Master Circular for Mutual Funds dated June 27, 2024, the unclaimed redemption and IDCW amounts shall be allowed to be deployed by the Fund in call money market or money market instruments and the same shall also be allowed to be invested in a separate plan of Liquid scheme / Money Market Mutual Fund scheme floated by Mutual Funds specifically for deployment of the unclaimed amounts. Provided that such schemes where the unclaimed redemption and IDCW amounts are deployed shall be only those Overnight scheme/ Liquid scheme / Money Market Mutual Fund schemes which are placed in A-1 cell (Relatively Low Interest Rate Risk and Relatively Low Credit Risk) of Potential Risk Class matrix as per SEBI Master Circular dated June 27, 2024. The investment management fee charged by the AMC for managing such unclaimed amounts shall not exceed 50 basis points. Investors claiming these amounts during a period of three years from the due date shall be paid at the prevailing NAV. After a period of three years, this amount shall be transferred to a pool account and the investors can claim the said amounts at the NAV prevailing at the end of the third year. Income earned on such funds shall be used for the purpose of investor education. The AMC shall make a continuous effort to remind investors through letters to take their unclaimed amounts. The details of such unclaimed amounts shall be disclosed in the annual report sent to the Unit Holders. The AMC reserves the right to provide the facility of redeeming Units of the Scheme through an alternative mechanism including but not limited to online transactions on the Internet through the AMC website or any other website, etc., as may be decided by the AMC from time to time. The alternative mechanisms would be applicable to only those investors who opt for the same in writing and/or subject to investor fulfilling such conditions as the AMC may specify from time to time. Unit-holders should note that while remitting your redemption proceeds, tax will be

	deducted at source in accordance with applicable tax laws. If there is any such unclaimed amounts and/or units, such amount shall be paid by direct credit to the claimant's registered bank account via NEFT/RTGS/Direct Fund transfer etc. immediately upon the successful completion of the transmission process, with a suitable intimation to the claimant giving complete details / account statement. Further, as per AMFI circular no. 35P/ MEM-COR/ 105/ 2024-25, following uniform practices shall be followed by AMC: 1.AMC to transfer the unclaimed redemption and dividend amounts to unclaimed dividend and redemption scheme (UDRS) after 90 days and not beyond 105 days from the date of the issuance of the instruments. 2.AMCs shall have separate scheme/plan for Unclaimed IDCW and Unclaimed Redemption amount, pending for less than 3 years or more than 3 years. 3.On completion of first 3 years period, AMC shall transfer such units to UDRS plan (>3 years) within 10 business days of the subsequent month. 4.The amount of income accrued on daily basis on unclaimed amounts beyond three years shall be transferred on a monthly basis (i.e. on or before 10th calendar day of subsequent month) to the investor education scheme /folio.
Disclosure w.r.t investment by minors	Pursuant to SEBI Master circular for Mutual Funds dated June 27, 2024 read with SEBI Circular dated May 12, 2023, the following uniform process shall be applicable with respect to Investments made in the name of a minor through a guardian. Payment for investment by means of Cheque, Demand Draft or any other mode shall be accepted from the bank account of minor, parent or legal guardian of minor, or from the joint account of the minor with parent or legal guardian. For existing folios, the AMC shall insist upon a Change of payout bank mandate before redemption is processed. However, all redemptions from investments made in the name of a minor shall be credited only to the verified bank account of the minor, with effect from June 15, 2023. Existing unit holders are requested to review the Bank Account registered in the folio and ensure that the registered Bank Mandate is in favour of minor or joint with registered guardian in folio. If the registered Bank Account is not in favour of minor or not joint with registered guardian, unit holders will be required to submit the change of bank mandate, where minor is also a bank account holder (either single or joint with registered guardian), before initiation any redemption transaction in the folio, else the transaction is liable to get rejected. Upon the minor attaining the status of major, the minor in whose name the investment was made, shall be required to provide all the KYC/FATCA details, updated bank account details including cancelled original cheque leaf of the new account and his/her specimen signature duly authenticated by banker/guardian. Investors shall additionally note that, upon the minor attaining the status of major, no further transactions shall be allowed till the status of the minor is changed to major. The standing instructions registered for Systematic Investment Plan (SIP), Systematic Transfer Investment Plan (STP), Systematic Withdrawal Plan (SWP), IDCW Transfer Plan (DTP), etc., shall be suspended when the minor attains majority, till the status is changed to major.
Acceptance of financial transactions	Non-individual unitholders desiring to avail the facility of carrying out financial transactions through email in respect of PPFAS Mutual Fund schemes shall

through email in respect of non-individual investors:	Submit a copy of the Board resolution or an authority letter on their letter head (signed by competent authority), granting appropriate authority to the designated officials of their entity. The board resolution/authority letter should explicitly consist of: List of approved authorized officials who are authorized to transact on behalf of non-individual investors along with their designation and email IDs. An Undertaking that the instructions for any financial transactions sent by email by the authorized officials shall be binding upon the entity as if it were a written agreement. In case the document is submitted electronically with a valid Digital Signature Certificate (DSC) or through Aadhaar based e-signature by the authorized official/s shall be considered as valid and acceptable and shall be binding on the non-individual investor as per the AMFI guidelines mentioned above. In addition to acceptance of financial transaction via email, scanned copy of duly signed transaction form/request letter bearing wet signatures of the authorized signatories of the entity, received from some other official / employee of the non-individual investor may also be accepted, and shall be binding on the non-individual investor provided - The email is also cc'd (copied) to the registered email ID of the authorized official / signatory of the non-individual unitholder; and the domain name of the email ID of the sender of the email is from the same organization's official domain name. No change in bank details or addition of bank account of the entity or any non-financial transactions shall be allowed / accepted via email. Request for change in bank details or addition of bank account of the entity shall be submitted by the non-individual investor using the prescribed service request form duly signed by the entity's authorized signatories with wet signature of the designated authorized signatories. Change in the registered email address / contact details of the entity shall be accepted only through a physical letter (including scanned copy thereof) with wet signature of the designated authorized officials of the entity, duly supported by copy of the board resolutions/authority letter on the entity's letter head. In addition to acceptance of financial transactions via email, scanned copies of signed transaction form /request letters bearing wet signatures of the authorized signatories of the entity, received from the registered MFD of the entity or a third party authorized by the non-individual unitholder may also be accepted subject to fulfilment of the following requirements: Authorization letter from the non-individual unitholder authorizing the MFD/person to send the scanned copies of signed transaction form/request letter on behalf the non-individual investor and the non-individual unitholder's registered email ID is also cc'd (copied) in the email sent by the authorized MFD/person sending the scanned copies of the duly signed transaction form/request letter.
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III. Other Details

A. Periodic Disclosures

Net Asset Value This is the value per unit of the Scheme on a particular day. You can ascertain the value of your investments by multiplying the NAV with your Unit balance.	The first NAV of the Scheme will be calculated and disclosed within a period of 5 business days from the date of allotment. Subsequently, the AMC will calculate and disclose the NAVs on all the Business Days. Due to any reason, if the NAVs of the Scheme are not available before the commencement of Business Hours on the following day, the Mutual Fund shall issue a press release giving reasons and explaining when the Mutual Fund would be able to publish the NAV. SEBI Master Circular for Mutual Funds no SEBI/HO/IMD/IMD-PoD-1/P/CIR/2024/90 dated June 27, 2024 states that Mutual Fund shall declare separate NAV for Direct and Regular Plan. Accordingly, Direct and Regular Plan shall have different NAV. The difference in NAV will be the commission paid to the distributor/s. NAV will be declared with 4 decimal points. Information regarding NAV can be obtained by the unitholders' or investors by calling or visiting the nearest ISC or visiting the website of the Mutual Fund. Link - https://amc.ppfas.com/schemes/parag-parikh-arbitrage-fund/nav-history/
Daily Performance Disclosure	The AMC shall upload performance of the Scheme on a daily basis on AMFI website in the prescribed format along with other details such as Scheme AUM and previous day NAV, as prescribed by SEBI from time to time. Link - https://www.amfiindia.com/research-information/other-data/mf-scheme-performance-details
Monthly Disclosure of Average Assets Under Management (AAUM)	The Mutual Fund shall disclose the Monthly AAUM under different categories of Schemes as specified by SEBI in the prescribed format on a monthly basis on its website viz. www.amc.ppfas.com and forward to AMFI within 7 working days from the end of the month. Link- https://amc.ppfas.com/schemes/assets-under-management/
Monthly/Half yearly Disclosures: Portfolio / Financial	The AMC shall disclose the portfolio of the Scheme along with ISIN as on the last day of each month / half year on its website viz. www.amc.ppfas.com and on the website of AMFI viz. www.amfiindia.com within 10 days from the close of each month/ half-year respectively in a user-friendly and downloadable spreadsheet format.

Results This is a list of securities where the corpus of the Scheme is currently invested. The market value of these investments is also stated in portfolio disclosures.	In case of Unitholders whose e-mail addresses are registered, the AMC shall send via email both the monthly and half-yearly statement of the Scheme portfolio within 10 days from the close of each month/ half-year respectively. Further, the AMC shall publish an advertisement in all India editions of at least two daily newspapers, one each in English and Hindi, every half year disclosing the hosting of the half- yearly statement of the schemes' portfolio(s) on the AMC's website and on the website of AMFI. The AMC shall provide a physical copy of the statement of the Scheme portfolio, without charging any cost, on specific request received from a Unitholder. Link - https://amc.ppfas.com/downloads/portfolio-disclosure/ https://amc.ppfas.com/schemes/scheme-s-financial-half-yearly/ https://www.amfiindia.com/research-information/other-data/accounts-data
Half Yearly Results	The Mutual Fund shall within one month from the close of each half year (i.e. 31st March and 30th September), host a soft copy of its unaudited financial results on its website www.amc.ppfas.com. The Mutual Fund shall also publish an advertisement disclosing the hosting of such financial results on its website, in at least one English daily newspaper having nationwide circulation and in a newspaper having wide circulation published in the language of the region where the Head Office of the Mutual Fund is situated. The unaudited financial results shall also be displayed on the website of AMFI. Link - https://www.amfiindia.com/research-information/other-data/accounts-data https://amc.ppfas.com/schemes/scheme-s-financial-half-yearly/
Annual Report	The scheme wise annual report shall be hosted on the website of the AMC / Mutual Fund (www.amc.ppfas.com) and AMFI (www.amfiindia.com) not later than four months (or such other period as may be specified by SEBI from time to time) from the date of closure of the relevant accounting year (i.e. 31st March each year). Further, the physical copy of the scheme wise annual report shall be made available to the Unitholders at the registered / corporate office of the AMC at all times. In case of Unitholders whose email addresses are registered with the Fund, the AMC shall e-mail the annual report or an abridged summary thereof to such Unitholders. The Unitholders whose email addresses are not registered with the Fund may submit a request to the AMC / Registrar & Transfer Agent to update their email ids or communicate their preference to continue receiving a physical copy of the scheme wise annual report or an abridged summary thereof. Unitholders may also request for a physical or electronic copy of the annual report / abridged summary, by writing to the AMC at mf@ppfas.com from their registered email ids or calling the AMC on the toll free number 1800 266 7790 or by submitting a written request at any of the nearest investor service centers of the Fund. Further, the AMC shall publish an advertisement in all India edition of at least two daily newspapers, one each in English and Hindi, every year disclosing the hosting

	of the scheme wise annual report on its website and on the website of AMFI. The AMC shall provide a physical copy of the abridged summary of the annual report, without charging any cost, on specific request received from a Unitholder. Link - https://amc.ppfas.com/schemes/scheme-annual-report/ https://www.amfiindia.com/research-information/other-data/accounts-data
Product Labelling (including Risk-o-meter)	The Product labeling mandated by SEBI is to provide investors an easy understanding of the risk involved in the kind of product / scheme they are investing to meet their financial goals. The Risk-o-meter categorizes various schemes under different levels of risk based on the investment objective, asset allocation pattern, investment strategy and typical investment time horizon of investors. Therefore, the schemes falling under the same level of risk in the Risk-o-meter may not be similar in nature. Investors are advised before investing to evaluate a Scheme not only on the basis of the Product labeling (including the Risk-o-meter) but also on other quantitative and qualitative factors such as performance, portfolio, fund managers, asset manager, etc. and shall seek appropriate advise, if they are unsure about the suitability of the Scheme before investing. As per SEBI Guidelines, Risk-o-meter of the Scheme shall be reviewed on a monthly basis based on evaluation of risk level of Scheme's month end portfolios. Notice about changes in Scheme's Risk-o-meters, if any, shall be issued. The product labeling assigned during the NFO is based on internal assessment of the scheme characteristics or model portfolio and the same may vary post NFO when the actual investments are made. For latest risiko-meters of the Scheme and the Benchmark, investors may refer to the monthly portfolios disclosed on the website of the Fund viz. www.amc.ppfas.com as well as AMFI website within 10 days from the close of each month. Link - https://amc.ppfas.com/statutory-disclosures/product-labelling/
Other disclosures/ Scheme Summary Document	To enhance investor awareness and information dissemination to investors, SEBI prescribes various additional disclosures to be made by Mutual Funds from time to time on its website / on the website of AMFI, stock exchanges, etc. These disclosures include Scheme Summary Documents, Investor charter (which details the services provided to Investors, Rights of Investors, various activities of Mutual Funds with timelines, DOs and DON'Ts for Investors (https://amc.ppfas.com/statutory-disclosures/investor-charter-for-mutual-funds.pdf?070102022_15), Grievance Redressal Mechanism, etc.) Investors may refer to the same. Link - https://amc.ppfas.com/statutory-disclosures/scheme-summary-document/index.php
Investor Charter	Link-https://amc.ppfas.com/statutory-disclosures/investor-charter-for-mutual-funds.pdf?070102022_15
Risk Adjusted Return –	As required under SEBI circular dated January 17, 2025 (SEBI/HO/IMD/IMD-PoD2/P/CIR/2025/6), the Mutual Fund/AMC shall disclose the IR of the Scheme portfolio on its website i.e. https://amc.ppfas.com/statutory-disclosures/disclosure-of-the-information-ratio/ along with performance disclosures, on a daily basis.

B. Transparency/NAV Disclosure

The AMC will calculate and disclose the first NAV of the Scheme within 5 business days from the date of allotment. Subsequently, the AMC will calculate and disclose the NAV of the Scheme at the close of every Business Day. The AMC shall update the NAVs on the website of the Mutual Fund (<http://amc.ppfas.com>) and on the website of Association of Mutual Funds in India - AMFI (www.amfiindia.com) by 11.00 p.m. on every Business Day. In case of any delay, the reasons for such delay would be explained to AMFI in writing. If the NAVs are not available before commencement of Business Hours on the following day due to any reason, the Mutual Fund shall issue a press release giving reasons and explaining when the Mutual Fund would be able to publish the NAVs. Unitholders may also avail a facility of receiving latest NAVs through SMS on their registered mobile numbers, by submitting a specific request in this regard to the AMC / Registrar & Transfer Agent.

C. Transaction charges and stamp duty-

Pursuant to Securities and Exchange Board of India (SEBI) vide Circular No. SEBI/HO/IMD/IMD-PoD-1/P/CIR/2025/115 dated August 08, 2025, the charges or commission, as prescribed under the paragraph 10.4.1.b and paragraph 10.5 of Master Circular, shall be done away with immediate effect.

In compliance with the above, the Scheme shall no longer deduct transaction charges from the subscription amount. The entire amount received from the investor shall be invested in the Scheme subject to applicable stamp duty charges.

- Stamp duty** - Investors/ Unit holders of all Schemes of PPFAS Mutual Fund are requested to note that, pursuant to Part I of Chapter IV of the Notification dated February 21, 2019, issued by the Legislative Department, Ministry of Law and Justice, Government of India, on the Finance Act, 2019, read with subsequent notifications including Notification dated March 30, 2020 issued by Department of Revenue, Ministry of Finance, Government of India, a stamp duty at the rate of 0.005% of the transaction value would be levied on applicable mutual fund investment transactions such as purchases (including switch-in, Reinvestment of Income Distribution cum capital withdrawal option) with effect from July 1, 2020. Accordingly, pursuant to levy of stamp duty, the number of units allotted on purchases, switch-ins, Systematic Investment Plan (SIP) installments, Systematic Transfer Plan (STP) installments, Reinvestment of Income Distribution cum capital withdrawal option etc. to the unit holders would be reduced to that extent. The stamp duty will be deducted from the net investment amount i.e. gross investment amount less any other deduction like transaction charge. Units will be created only for the balance amount i.e. Net Investment Amount as reduced by the stamp duty. The stamp duty will be computed at the rate of 0.005% on an inclusive method basis.

For instance: If the transaction amount is Rs. 100100 /- and the transaction charge is Rs. 100, the stamp duty will be calculated as follows: $((\text{Transaction Amount} - \text{Transaction Charge}) / 100) \times 0.005 = \text{Rs. } 5$. If the applicable Net Asset Value (NAV) is Rs. 10 per unit, then units allotted will be calculated as follows: $(\text{Transaction Amount} - \text{Transaction Charge} - \text{Stamp Duty}) / \text{Applicable NAV} = 9,999.50$ units.

Transfer of mutual fund units (such as transfers between demat accounts) are subject to payment of stamp duty @ 0.015%. The rate and levy of stamp duty may vary as amended from time to time.

D. Associate Transactions- Please refer to Statement of Additional Information (SAI)

E. Taxation- For details on taxation please refer to the clause on Taxation in the SAI apart from the

following:

Equity Oriented Funds:

Fund of Tax implications on distributed income (hereinafter referred to as either 'Dividend' or 'Capital Gains') by Mutual Funds:

Tax Status of investor	Capital Gains Tax		TDS on capital gain	Tax on distributed income under dividend scheme	TDS on distributed income under dividend scheme
	Short term capital gain (period of holding less or equal than 12 months)	Long term capital gain (period of holding more than 12 months)			
Resident Individual/ HUF / AOP / BOI	20%	12.5% (without indexation and foreign exchange fluctuation)	Nil	At the applicable slab rate	10%
Domestic Companies			Nil		10%
NRIs			STCG: 20% LTCG: 12.5%		20%

Notes:

1.The following amounts would be deductible from full value of consideration to arrive at the amount of capital gain:

- Cost of acquisition of units and
- Expenditure incurred wholly and exclusively in connection with the transfer of units.

Further, cost of acquisition to compute long-term capital gains is to be higher of (a) Actual cost of acquisition; and (b) Lower of (i) fair market value as on 31 January 2018; and (ii) full value of consideration received upon transfer.

2.In the case of Resident Individuals and HUF, whose total income (as reduced by such short- term capital gain/ long term capital gain) is below the basic exemption limit, then such capital gains shall be reduced by the amount of basic exemption limit not exhausted by any other income and only balance capital gain will be taxed. Long-term capital gains from the sale of equity-oriented units, taxed under section 112A of the Income-tax Act, 1961 ('Act'), are not taxable up to Rs.1,25,000.

3.Equity Oriented Funds will also attract Securities Transaction Tax at applicable rates.

4.Surcharge is applicable on the above depending on the total income. In addition, "Health and Education Cess" @ 4% shall be applicable on aggregate of base tax and surcharge (Marginal relief in surcharge, if applicable).

The surcharge rate applicable to capital gains taxable under section 112, 112A and 111A of the Act is capped to 15%.

5.There shall be no TDS deductible if dividend income paid / credited in respect of units of a mutual fund held by resident is below ₹ 10,000 in a financial year.

Accordingly, income tax may have to be deducted at source at the following rates in case of a non-

resident (other than foreign companies), unless a lower withholding tax certificate is obtained from the tax authorities:

Where tax is deductible under the Act, and the deductee has not furnished a Permanent Account Number (PAN) to the deductor, tax should be deducted at source at the highest of the following rates:

- At the rate specified in the Act
- At the rates in force
- At the rate of 20% (plus applicable surcharge and Health and Education Cess)

Where the Permanent Account Number provided to the deductor is invalid or does not belong to the deductee, it shall be deemed that the deductee has not furnished his Permanent Account Number to the deductor and the provisions of sub-section (1) shall apply accordingly.

The rates of TDS in case of Non-resident will further be increased by applicable Surcharge and Cess.

6.Short term/ long term capital gain tax will be deducted at the time of redemption of units in case of NRI investors only. However, as per section 196A of the Act, withholding tax would be lower of the rate of 20% (plus applicable surcharge and cess) or rates provided in the tax treaty on any income in respect of units of mutual fund in case of non-residents as per section 196A of the Act. The non-resident unitholders have to provide the required documents for claiming the benefit of tax treaty. For the purpose of withholding tax obligations, taxes will be withheld as per the provisions of the Income tax Act, 1961 (without applying tax treaty rates). The NRIs can claim the benefit of tax treaty while filing the return of income.

7.As per the provisions of section 196D of the Act which is specifically applicable in case of FPI/FII, the withholding tax rate of 20% (plus applicable surcharge and cess) on any income in respect of securities referred to in section 115AD(1)(a) credited / paid to FII shall apply. The proviso to section 196D(1) of the Act provides for claiming the tax treaty benefits at the time of withholding tax on income with respect to securities of FPIs, subject to furnishing of tax residency certificate and such other documents as may be required. As per section 196D(2) of the Act, no TDS shall be made in respect of income by way of capital gain arising from the transfer of securities referred to in section 115AD of the Act.

8.The Finance Bill (No 2) ,2024 provides that in case of domestic company, the rate of income-tax shall be 25% subject to satisfaction of condition relating to turnover or gross receipts. The corporate tax rates for domestic companies (not claiming specified incentives and deductions) at the rate of 22% under section 115BAA and domestic manufacturing companies (not claiming specified incentives and deductions) set-up and registered on or after 1 October 2019 and manufacturing commenced on or before 31 March 2024 at the rate of 15% under section 115BAB. The tax computed in case of domestic companies whose income is chargeable to tax under section 115BAA or section 115BAB shall be increased by a surcharge at the rate of 10%.

The information given herein is as per the prevailing tax laws.

Further details on taxation, please refer to the Section on Taxation on investing in Mutual Funds in Statement of Additional Information (SAI). Investors should be aware that the fiscal rules/ tax laws may change and there can be no guarantee that the current tax position may continue indefinitely. In view of the individual nature of tax implications, investors are advised to consult their professional tax advisor.

F. Rights of Unitholders- Please refer to SAI for details. <https://amc.ppfas.com/downloads/kim-sid-and-sai/>

G. List of official points of acceptance: Kindly refer the below link for list of Official points of acceptance.

<https://amc.ppfas.com/downloads/disclosure-related-to-offer-documents/> and
<https://amc.ppfas.com/contact/official-points-of-acceptance-opa/>

CAMS: <https://www.camsonline.com/Investors/Support/CAMS-Location&Service-center>

H. Penalties, Pending Litigation or Proceedings, Findings of Inspections or Investigations :

Kindly refer the link for details –

<https://amc.ppfas.com/downloads/disclosure-related-to-offer-documents/>

Further, any amendments / replacement / re-enactment of SEBI Regulations subsequent to the date of the Scheme Information Document shall prevail over those specified in this Document.
